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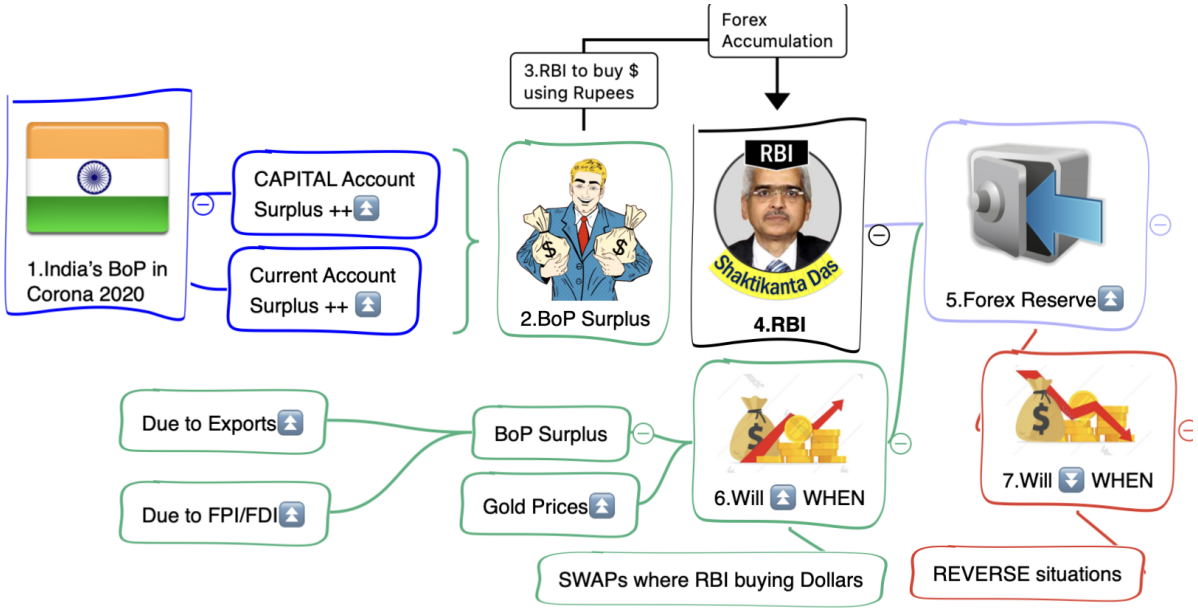
31 BoP, Currency Exchange, Forex, SDR, NEER, REER, PPP

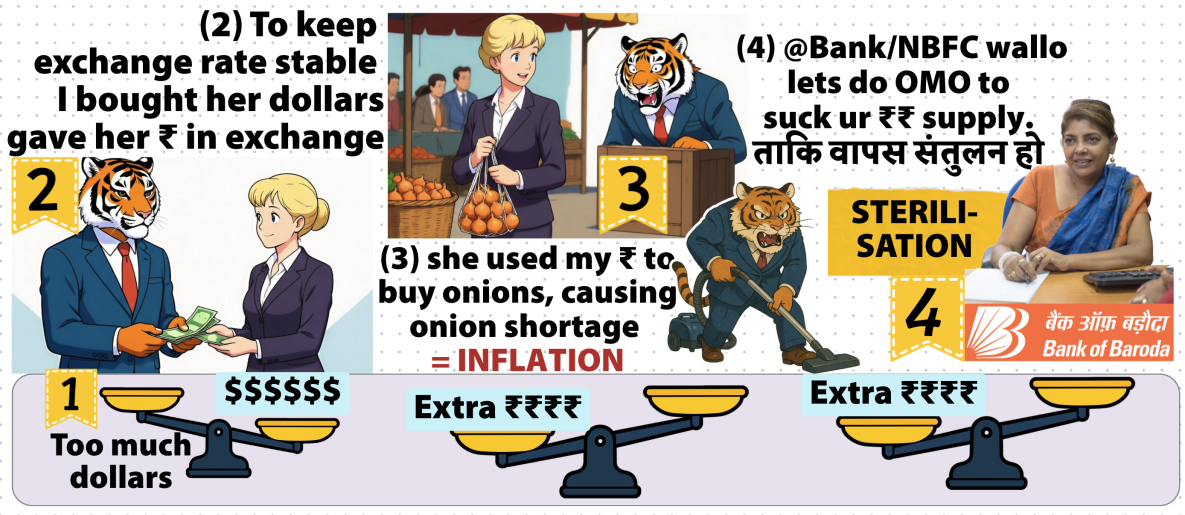
31.1 ⛽🎖️: 🚁🤲 BoP ⟶ SUMMING UP



sr	*Approx Bn. USD*	*2018-19*	*2020-21*
1	Current Account Deficit: चालू खाता घाटा	- 57	+24
2	Capital Account Surplus: पूंजी खाता अधिशेष	+ 54	+64
3	Errors & Omissions: त्रुटियां और चूक	-0.486	-0.3
4	Overall Balance: समग्र संतुलन/ शेष	(-) 3 bn	+87
5	Official Reserve Transactions or Monetary Movements in RBI's Foreign Exchange Reserves** (रिज़र्व बैंक फॉरेक्स बाजार से डॉलर की खरीदी या बिक्री करेगी ताकि विनिमय दर में स्थिरता रहे)	(+) 3 bn [Meaning RBI sold $$ from its reserves]	(-)87 [Meaning RBI bought this much $$ from market]
	NET Balance of Payment for India	**0 (ZERO)**	**0 (ZERO)**

- Sr. no 1 to 4 are called **Autonomous transactions** because they occur independently on their own without RBI's involvement. (यह लेनदेन स्वायत्त रूप से, अपने आप ही हो जाती है, रिज़र्व बैंक के कहने पर नहीं होती)
- Sr. no 5 is called **Accommodating transactions**, bcoz RBI will do it based on whether we are having surplus or deficit due to previous 4 items (so that RBI can accommodate NET BoP to ZERO). (यह अपने आप नहीं हो जाता, रिज़र्व बैंक ने अपना दिमाग लगाकर इसको करना पड़ता है)
- **Column for 2018-19: (+) sign indicates RBI supplied/sold that many $$ from its forex reserve, else $ becomes stronger= ₹ becomes weaker bad for importers. Here (+) Sign indicates ⏬in RBI's forex reserve (since RBI sold dollars) [रिज़र्व बैंक की तिजोरी में इतने डॉलर की मात्रा कम हुई]

- ##Column for 2020: (-) sign indicates RBI purchased $$ from market, else ₹ rupee becomes stronger= bad for exporters. (-) Sign in sr.5 row indicates ↑ in RBI's forex reserve (since RBI bought dollars) [रिज़र्व बैंक की तिजोरी में इतने डॉलर की मात्रा बढ़ जाएगी].



31.1.1 Sterilization (स्थिरीकरण)?

⇒ If there is a BoP situation, wherein RBI has to sell ₹ to buy $ to get the NET answer ZERO then…

Such RBI action would result in ↑ supply of rupee currency in the Indian market ⟶ it can cause inflation if there is not sufficient supply of goods for purchase.

⇒ So, RBI must 'absorb' that excess rupee currency back. RBI will do it through Open Market Operation (OMO: REF-1A2) ⟶ sell govt securities to buyback Indian rupees. This process is called Sterilization. रिजर्व बैंक ने यदि डॉलर खरीदने के लिए बाजार में रुपए दिए तो उन्हीं रुपयों को वापस से भी चूस लेना चाहिए, वरना महंगाई हो सकती है ⟶ इसलिए रिजर्व बैंक, सरकारी प्रतिभूतियां भेजकर बाजार ₹ चूस लेता है इसे स्थिरीकरण कहते हैं

MCQ. Which activities of the RBI is considered to be part of 'sterilisation? *(Pre'23)*

(a) Conducting Open Market Operations (b) Oversight of settlement and payment systems

(c) Debt and cash management for the Central and State Govts

(d) Regulating the functions of Non-banking Financial Institutions

MCQ. Find correct about balance of payments: (GPSC-2025)

1. Exports and imports of services are recorded in current account

2. Unilateral flows are recorded in capital account

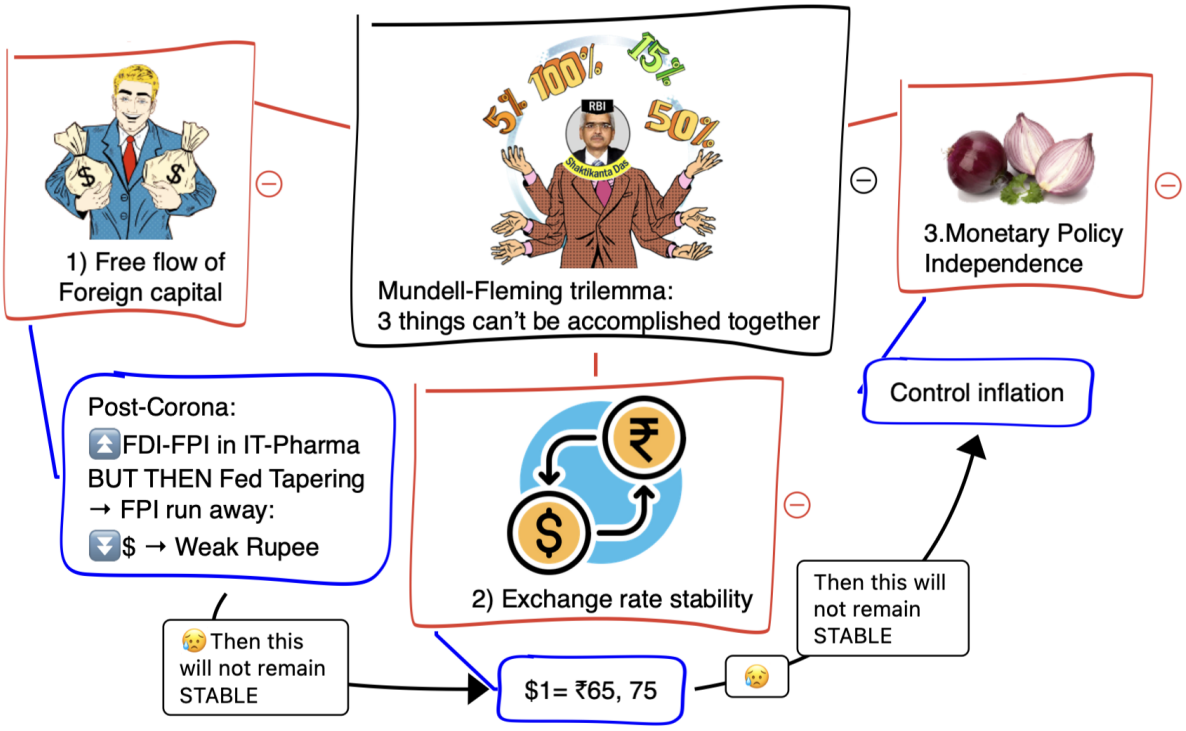
3. Current account surplus always equals capital account deficit

Code: (A) 1 and 2 only (B) 2 and 3 only (C) 1 and 3 only (D)1,2 and 3

Hint: Unilateral = one directional flow e.g. NRI sending remittance from USA to India.

31.1.2 : Mundell-Fleming Trilemma (मंडल फ्लेमिंग की त्रि-आयामी दुविधा)

Theory by economists Robert Mundell and Marcus Fleming (1960s). It argues that three things can't be accomplished together: रिजर्व बैंक तीन चीजें एक साथ नहीं कर सकते



In this trilemma, What did RBI do, during Corona-2020? Ans. RBI felt that inflation will increase ↑ irrespectively, because of the Corona lockdown related supply-demand mismatch. So, RBI focused on controlling exchange rate instability. Watch Video for more.

31.2 (⛽🎖️>💳🤲)⚠️ India's Balance of Payment crisis (1991)

Nowadays India *usually* has "DEFICIT" in current account (due to crude oil imports), but there is *usually* sufficient "SURPLUS" in capital account (thanks to FDI & FPI) to counter/offset that Current Account DEFICIT. (सामान्य रूप से चालू खाते में घाटा, और पूंजी खाते में अधिशेष होता है)

- But in the pre-1991's Nehruvian Socialist Economy, many sectors were nationalised (banking insurance) and / or reserved for the public sector companies only = mismanaged & inefficiency. Private sector industrialists were allowed only in selected sectors, and were subjected to Licence-Quota-Inspector Raj → ⏬competition,⏬ innovation = low exports.(Ref: Pillar#4B)
- And our policy makers restricted foreign investments (FDI /FPI) fearing that
  - It'll bring USA-CIA's invisible hand in Indian Affairs,
  - Our Swadeshi industries & our 'Non-Alignment Movement (NAM)' will be harmed.
- 😰 **End result?** High level of "DEFICIT" in Current Account and not enough surplus in Capital account to counter/offset that DEFICIT. The situation could be like this:

1991 → imaginary figures for illustration only (सिर्फ़ उदाहरण के लिए काल्पनिक आंकड़े)	**(Bn. USD)**
Current Account (Deficit) [चालू खाते में बोहोत बड़ा घाटा]	- 100
Capital Account (Surplus, but it's insufficient surplus) [पूंजी खाते में अपर्याप्त अधिशेष]	+ 50
Errors & Omissions	0

1991 → imaginary figures for illustration only (सिर्फ़ उदाहरण के लिए काल्पनिक आंकड़े)	(Bn. USD)
Overall Balance	- 50
Monetary Movements in RBI's Foreign Exchange Reserves**	+ 50
NET Balance of Payment for India	0

**Here plus (+) indicates RBI must sell dollars from its forex reserve to keep India's BoP at ZERO level. If they can't do it then shortage of dollars in Indian market to pay for our import bills → results in heavy weakening of Indian rupee (e.g. $1 =₹ 60 → $1= ₹ 6000) then it becomes even more expensive to import oil. रुपया बहुत कमजोर हुआ तो कच्चा तेल आयात करना और महंगा होगा

- In 1991, RBI didn't have enough forex reserves to get India's BoP zero → we had to pledge our gold to IMF to borrow dollars. सोना गिरवी रखकर डॉलर के लोन लिए
- IMF also imposed certain conditions which required India to open up its economy through LPG reforms (Liberalisation, Privatisation, Globalisation: उदारीकरण, निजीकरण, वैश्वीकरण). 🎓**Self-study** from (new) NCERT Class11:Indian economic development → Ch3.
- 2022: SriLanka facing similar problems but we're not preparing for SrilankiPSC so boycott-PHD.

31.2.1 (⛽🎖️>💳🤲)⚠️ Disequilibrium in BoP: Factors responsible (असंतुलन के कारण)

When Credit (Receipt, income money) = Debit (Payment, outgoing money) then BoP will be ZERO. If, not then BoP is in disequilibrium. This can happen because of:

⇒ **Development** disequilibrium (विकास का असंतुलन): poor nations have to import more grains, medicines etc. = adverse BoP.

⇒ **Secular** or Long-term Disequilibrium (दीर्घ अवधि तक रहने वाला): newborn nation is usually poor & backward so imports >> Export. E.g. Nehru's India until it matured in the 90s.

⇒ **Consumerism** and Demonstration Effect: Rich Indians try to copy westernized lifestyles. So, ⬆️import of Switzerland wristwatches + Sports Cars = adverse BoP. (उपभोक्तावाद, दिखावा करने की चाह → ज्यादा आयात के चलते भुगतान संतुलन खराब होता है)

⇒ **Structural** Disequilibrium =if transport, electricity infrastructure is poor or Technological Backwardness = exports can't improve. (संरचनात्मक और तकनीकी)

⇒ **Cyclical** Disequilibrium (चक्रीय असंतुलन): When two countries may be passing through different phases of business cycle (Boom, slowdown...तेजी और मंदी का चक्र) , so there will be mismatch in imports, exports, FDI etc.

🔠 ***Which is not a factor responsible for BoP imbalance in India since 1991? (GPSC-2025)***

(A) Increased import of goods and services for various reasons

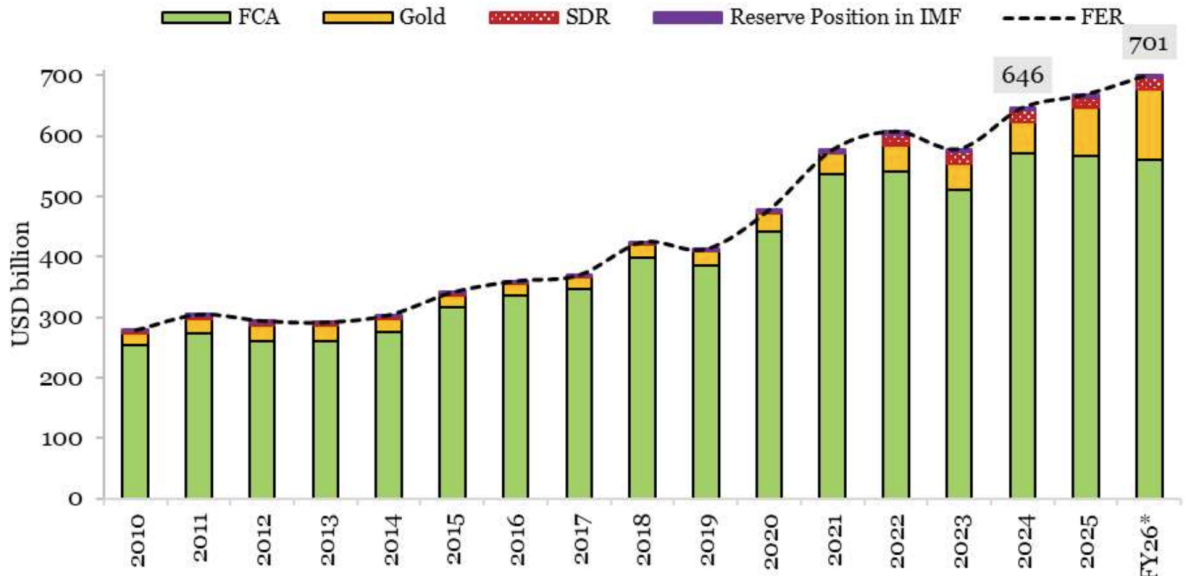
(B) Hindrances in capital flows

(C) Depreciation of domestic currency, especially when import payments exceed export earnings

(D) Appreciation of domestic currency, especially when import payments exceed export earnings

Hint: if import ⇑ → local currency will weaken. D says it'll get strong.

31.3 RBI's Forex Reserve: विदेशी मुद्रा रिजर्व



The Forex Reserve component(s) are =

1) Foreign Currency Assets (includes foreign currencies & G-Sec/bonds of foreign Govts)
2) Gold (स्वर्ण)
3) Reserve Tranche Position (RTP) in the IMF. Also called **Gold Tranche** (What is it? = NOT IMP.)
4) Special Drawing Right (SDR) of International Monetary Fund (IMF)

USA is not in the top-10 list, it barely keeps ~$250 billions in reserve. Because USA has floating exchange rate so USA central bank doesn't worry about currency exchange.

⇒ 2024: world's largest foreign exchange reserve-holding countries(1) China ($3 trillion), (2) Japan, (3) Switzerland (4) India

31.3.1 Gold % increasing in forex reserve - ES25 & ES26:

Reserve Component	Mar 2025	Jan 2026
Foreign Currency Assets : slight ⇓ as RBI was selling dollars to slow down the fall of rupee	USD 568 bn	USD 561 bn
Gold : ⇑ for two reasons (i) ⇑ in value of existing gold stored in RBI (ii) RBI increasing the gold holding to reduce dollar dependence.	USD 78 bn	USD 118 bn

31.3.2 India moves 100 metric tonnes of gold from UK (2024)

⇒ RBI sometimes stores gold abroad (A) To avoid transport costs and risks (B) for faster-trading in intl.markets(C) As loan-collateral e.g. in 1991's BoP crisis.

⇒ However, this poses risks during geopolitical tensions e.g. Western nations freezing of Russian assets during the Ukraine war (2022).

⇒ 2024: RBI decided to move its 100 metric tonne gold from Bank of England.

RBI's gold	Before	After moving 100 Mt from England to India

(A) Stored in India	308	408
(B) Stored Abroad	514	414
Total (A+B)	822	822 Metric Tonnes

MCQ. Which is included in India's foreign-exchange reserves? *(UPSC-Pre-2013)*

A. Foreign-currency assets, Special Drawing Rights (SDRs) and loans from foreign countries.

B. Foreign-currency assets, gold holdings of the RBI and SDRs.

C. Foreign-currency assets, loans from the World Bank and SDRs.

D. Foreign-currency assets, gold holdings of the RBI and loans from the World Bank.

MCQ. "Gold Tranche" (Reserve Tranche) refers to _ _ (UPSC-Pre-2020)

[a) A loan system of the World bank *[b) One of the operations of a central bank*

[c) A credit system granted by WTO to its members *[d) A credit system by IMF to its members*

31.3.3 Forex Reserve: goes up or down: when / how?

Factor / Variable	Forex Reserve goes up when	Forex goes down when
BoP accommodating transaction	in situation when RBI has to buy dollars to get net BoP =0. e.g. when Both current account and capital account are surplus.	When RBI has to sell dollars to get net BoP=0. e.g. when Current account deficit number is very high.
RBI interventions रिजर्व बैंक की दखल	when RBI has to buy dollars to keep rupee stable.	when RBI has to SELL dollars to keep rupee stable.
Valuation Effect (संपत्तियों के मूल्य की असर)	when the market value of the forex assets increases (जब रिजर्व बैंक की फॉरेक्स संपत्तियों का बाजार मूल्य बढ़ जाए)	Reverse. e.g. fall in value of gold and Euro during 2023-Oct-Week1.

31.3.4 Significance of Foreign Exchange Reserves (महत्व)

⇒ To maintain the exchange rate stability (मुद्रा दर में स्थिरता के लिए विदेशी मुद्रा भंडार ज़रूरी।)

⇒ To absorb external-shocks (बाह्य वैश्विक झटकों से भारतीय अर्थतंत्र को संभालना)

⇒ To help economy in situations where foreign loans are very expensive/unavailable e.g. in situations similar to Pakistan/SriLanka. (जब विदेशी स्रोतों से कर्ज़ न मिल रहा हो।)

31.3.5 Indicators to find forex adequacy- as per IMF

Indicators	Rules for minimum forex reserve (न्यूनतम कितना विदेशी मुद्रा भंडार रिज़र्व बैंक ने रखना चाहिए?)
Ratio of forex-reserve to imports	- **RBI's S.S.Tarapore committee**- Shd be Large enough to pay for 6 months' imports (छः महीने के आयात का ख़र्चा उठा सके उतना फ़ोरेक्ष भंडार होना चाहिए)
Ratio of forex-reserve to external debt	- **IMF's Guidotti–Greenspan rule:** Shd be Large enough to cover short-term external debt of upto 1 year tenure (लघु अवधि के विदेशी ऋण चुका सके उतना फ़ोरेक्ष भंडार होना चाहिए)
Ratio of forex-reserve to monetary aggregates	- e.g. Forex / M3. (What is M3 = refer Pillar1A2) - what's the ideal number? Ans. Eco Survey didn't mention, so, I didn't google.

MCQ. Adequacy of foreign exchange reserves is captured by which indicators? (CAPF-2023) 1. Reserves to import ratio 2. Reserves to external debt ratio
3. Reserves to GDP ratio 4. Reserves to monetary aggregates
Codes: (a) 1 and 3 only (b) 1, 2, 3 and 4 (c) 2, 3 and 4 only (d) 1, 2 and 4 only

31.3.6 🪣😰 Negative implications of Large Forex Reverse (नकारात्मक आयाम)

⇒ if large forex reserve is built through exchange rate manipulation / deliberate weakening of local currency e.g. China = then weak currency ⟶ imported inflation in crude oil etc.

⇒ The excess money thus locked into forex reserve ⟶ not available for other activities e.g. health, education, poverty removal, infrastructure.

31.3.7 😰 Weak Currency = Non-Tradable sector neglected

NON-TRADABLE SECTOR (व्यापार / निर्यात अयोग्य क्षेत्र) 👇	TRADABLE (EASILY EXPORTABLE) 👇
Healthcare, Education, Construction	Manufacturing, IT, Food Processing

⇒ If a country excessively focuses on exports ⟶ central bank will try to keep local currency weak and the government will focus more on giving tax cuts, subsidies and cheap loans to 'tradable' sectors e.g. Manufacturing, IT, Food Processing

⇒ But consequently, the non-tradable sectors (health, education) receive less funding/attention ⟶ possible **loss** of social /human development.

MCQ. Which of the following statements is/are correct? (CDS-2024-1)

1. Most of India's reserves is held in the form of foreign currency.

2. There is no cost of holding foreign currency as reserves by a nation.

Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

31.4 👷 Remittances & BoP stability- 📕 ES24: observation

- Inward-FDI tends to improve during economy boom, and decrease during economic slowdowns/crisis. Therefore FDI is considered pro-cyclical and destabilising for India.^ (एफ़डीआई आर्थिक तेज़ी के समय में बढ़ती है, और मंदी के समय में कम हो जाती है.)
- But, remittances are permanent foreign currency inflows compared to FDI.- said 📕ES24.
- Remittances directly support the economy by narrowing/stabilizing the Trade Deficit and Current Account Deficit (CAD), especially for net importing countries like India.^^

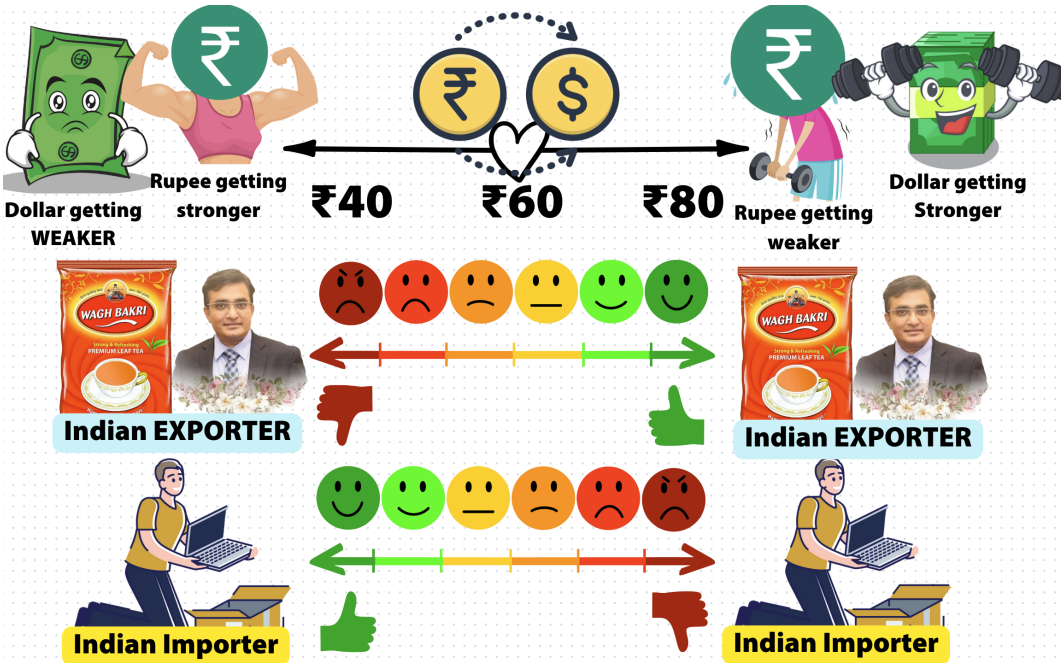
^💁‍♀️**FAQ: earlier u said, FDI provide stable source of funding. So, isn't in this contradictory?** Ans. Stability is relative term. FPI (hot-money) < FDI more stable < Remittance even more stable. You've to tick as per the MCQ-options.

^^💁‍♀️**FAQ: But, Remittance classified under invisibles, trade deficit is different. How can remittance help. isn't in this contradictory?** Ans. Economic survey is talking in general terms, about how remittance helps narrowing down the losses. You are nitpicking like a Supreme Court defense lawyer which is not required in MCQ.

31.4.1 👷Remittances relationship with oil prices and exchange rate

- (1) Higher global oil prices → Jobs for Indian workers in Middle East ⇑ → remittances ⇑. Reverse also true, if oil price fall⇓ → jobs in Middle East ⇓. → remittance2India ⇓
- (2) Higher CAD → Weaker Rupee → Indian worker abroad will earn more in rupee currency (bcoz his $1,000 salary may ⇑ ⇑ from ₹ 75,000 to ⇑ ⇑ ₹84,000).
- so even if he's sending $100 to family in India, now India received ₹7500 → ⇑ ₹8400 remittance. Thus, amount of remittances tend to positively correlate with exchange rate movements.

32 💱 Currency Exchange Rate: मुद्रा विनिमय दर=



(Definition) The price of one currency in terms of the other currency is called exchange rate. E.g. $1 = ₹ 70. Meaning, it costs ₹ 70 to buy one dollar (or $0.014 to buy ₹ 1).

Currency Exchange Rate	Indian Exporter of Tea	Indian Importing Laptops
Weaker ₹ = Stronger $ ($1=60 ⟶ 80)	☺☺☺ *(assuming no change in inflation)*	☹☹☹ . मेरे को आयात करते वक्त ज़्यादा जत्थे में पैसा देना होगा !
Stronger ₹ = Weaker $ ($1=60 ⟶ 40)	☹☹☹ मेरे को निर्यात करते वक्त कम जत्थे में पैसा मिलेगा।	☺☺☺

- This is also called **Nominal Exchange Rate** because it does not take into consideration inflation or purchasing power in the respective countries. (औपचारिक विनिमय दर, महंगाई को नजरअंदाज किया)
- The place where currencies are exchanged is called **Foreign Exchange Market** (विदेश विनिमय बाज़ार). Their dealers are called Authorized (Forex) Dealers (AD). They can be banks or non-banks. They have to get registered with RBI under the Foreign Exchange Management Act (FEMA: विदेशी मुद्रा प्रबंधन अधिनियम के अंतर्गत विदेशी मुद्रा के दलालों को रिजर्व बैंक से अनुमति लेनी होती है).
- These dealers keep **separate prices for buying and selling**, to make profit in between e.g. ICICI: $1 Dollar buying price ₹ 67.95 and $1 selling price is ₹ 72.76.

- Such currency transaction service **is also subjected to GST,** however the tax depends on the amount of currency exchanged. (e.g. upto ₹ 10 lakh exchanged in foreign currency then only ~₹ 3000 of that 10 lakh will be taxable in GST → 18% of 3000 → ₹ 540 GST Tax. GST will not be levied on the entire 10 lakh rupees)

32.1 Weak Indian ₹ - ES26 gives gyan

32.1.1 Weak ₹ Impact on Trade vs Financial channel — says ES26:

	Trade Channel	Financial Channel
Weak ₹ impact	Beneficial :)	Harmful :(
Why	Imports costlier → ⇓ demand; Exports cheaper → ⇑ demand	Foreign borrowing becomes expensive → capital outflows

Overall, weak ₹ is good for India because the trade gains far outweigh harm in the financial channel - because exports can create more jobs, help making India an mfg 'powerhouse' says ES26.

32.1.2 Goods trade vs Services trade: who is more sensitive to ₹ movement? — says ES26:

	Merchandise (Goods)	Services
Elasticity	-1.45	-0.38
Meaning	Highly sensitive — weak ₹ significantly improves trade balance	Relatively insensitive — demand depends on quality, not price
Why	Price competition dominates goods trade i.e. a foreigner would prefer to buy cheap Chinese item over better quality Indian item	India's IT/consulting reputation is built on expertise, not price comparison against other Asian IT companies.

32.1.3 East Asia lesson- must become mfg POWERHOUSE says ES26:

- After WW2, Japan rebuilt itself around manufacturing — machinery, electronics, precision instruments. South Korea and Taiwan followed the same path from the 1970s.
- These Asian giants connected their factories to global supply chains → exports grew large and stable → trade surplus built up → currency strengthened over decades.
- These Asian giants DIDNOT protect upstream industries like steel and petrochemicals too heavily (e.g. by prohibiting import from another nation).
- Because if steel is expensive domestically, every factory using steel suffers — and exports become uncompetitive. Thus, sometimes, what you choose not to protect matters as much as what you support- said ES26:
- South Korea's journey: started with basic jeans and cheap assembly → moved to home appliances (LG, Samsung) → then semiconductors and ships. Each step up made their exports harder to replace. Currency strengthened at every stage.

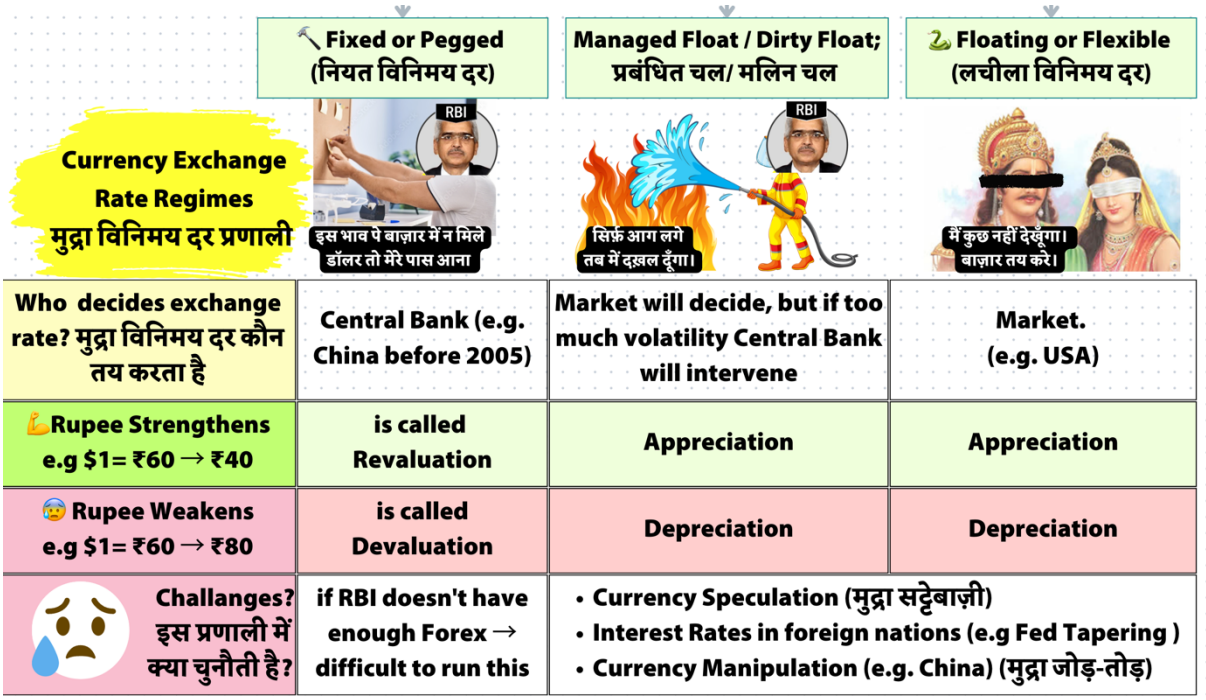
	Trade Surplus economies	Trade Deficit economies
Examples	Japan, South Korea, Singapore,	India, UK, USA. (USA exception bcoz $ stays

	Trade Surplus economies	Trade Deficit economies
	Germany, Switzerland	stronger for being a reserve currency)
Currency trend	Strengthened over decades (2025-Trump era is exception)	Weakened over time
Why	Manufacturing exports → trade surplus → strong currency	Persistent CAD → weak currency (except USA)

Lessons for India:

- IT services alone cannot protect currency exchange rate.
- India must become a mfg powerhouse but presently we are lagging behind China and other peer economies in high-tech manufacturing and private R&D

32.2 💱 Exchange Rate Regime: Theory (Appreciation/Depreciation)



It is the set of rules governing the exchange of domestic currency with foreign currencies.

🔤❓ *MCQ. Under flexible exchange rate system, the exchange rate is determined by* [CDS-2015-II]

(a) predominantly by market mechanism *(b) by the Central Bank*

(c) as a weighted index of a group of currencies *(d) by the World Trade Organization*

32.2.1 🏃 Runaway inflation and Runaway depreciation

"runaway" is a word to describe a situation in which something increases or develops very quickly and cannot be controlled.

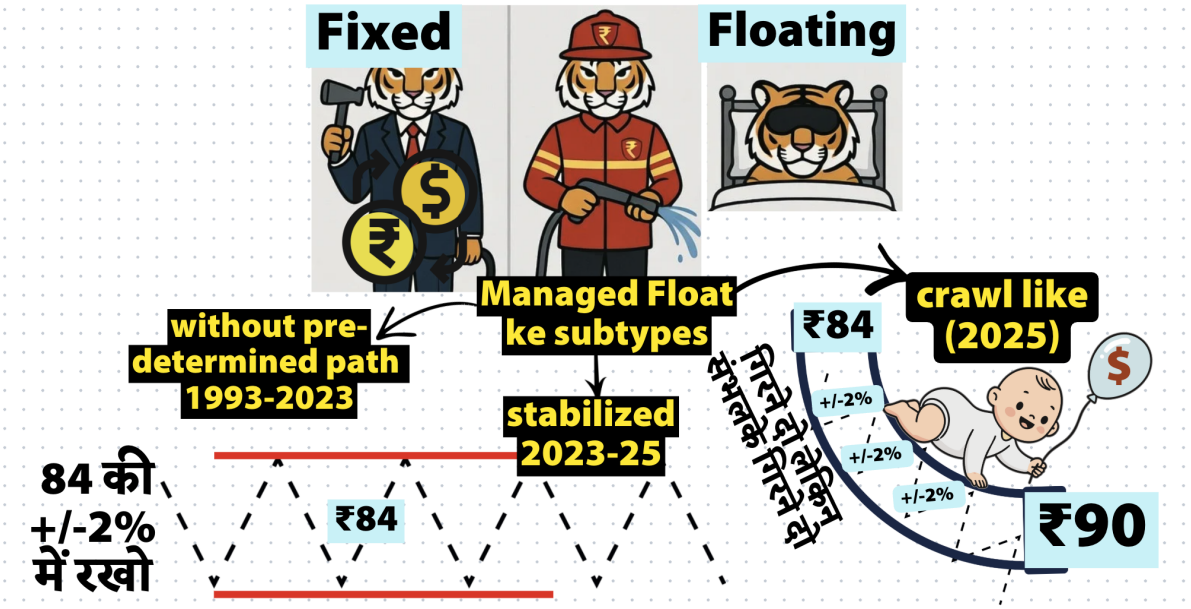
Term	Meaning
Runaway Inflation	When prices of goods & services rise at an extremely fast and uncontrollable rate. महंगाई बहुत तेजी से बढ़ जाए.

Runaway Depreciation	When local currency faces an extremely rapid decline in value relative to other currencies. e.g. $ 1= 175 Pakistani rupees (2022) to 300 Paki Rupees (2023)

32.2.2 🐅📉 RBI lets The Rupee depreciate (2025)

- 2024-Oct: FPI running away from Indian sharemarket (reason explained in Pill1C) → this resulted in weakening of the rupee. RBI sold nearly $50 billion from its forex reserve to control this volatility.
- 2025: The rupee weakened from $1= ₹85 to 90, but the RBI didn't intervene. The new Governor believes that trying to control the rupee-dollar exchange rate in a tight range would waste RBI's energy and forex-resources, so let the market forces decide.

32.2.3 🐍 IMF Reclassifies ₹ exchange rate as Managed float -> Subtype Crawl-like (2025 onw)



Period	IMF's Classification	What RBI was doing
1993–2023	Managed Float (no predetermined path)	RBI Intervening, but rupee had genuine two-way movement
2023–2025	Stabilised arrangement	Intervening so heavily that rupee stayed in a narrow ±2% band around ₹84.
2025 onwards	Crawl-like arrangement	Rupee allowed to slide gradually — ₹86 (Jan 2025) → ₹90(Dec 2025) → ₹91 (Mar 2026) — small steps down, RBI only intervening to prevent a sharp crash.

32.2.4 Managed Float System → Challenges ?

1. Currency speculation and interest rates (e.g USA Fed Tapering – refer to Pillar: 1A2.)
2. **Currency Manipulation/** मुद्रा जोड़-तोड़: usually occurs when a central bank keeps buying dollars to create artificial scarcity of $ in the forex markets → dollar becomes expensive → local currency becomes weak → boost to exports.

US Department of the Treasury publishes a semi-annual report to track such nations. China, S.Korea, India etc usually kept in ('Watch list') citing the (alleged) lack of transparency and consistency in their respective Central banks operations. (इन देशों की केंद्रीय बैंक, मुद्रा विनिमय दर को नियंत्रित रखने के लिए जो क्रियाएं करती है, उस में पारदर्शिता नहीं, इसलिए अमेरिका उन पर मुद्रा जोड़-तोड़ का इल्जाम लगाता है)

32.2.5 Currency War 2018 (मुद्रा युद्ध)

- 2005: Chinese authorities announced they don't manipulate/control Yuan exchange rate. They only intervene if Yuan's exchange rate varies more than +/- 4% from previous day.
- 2018: USA alleges that China is deliberately keeping Yuan weak to make Chinese product more cheaper in global trade. Trump accused Russia and Japan of playing similar 'Currency War' against him.(चीन पर अपनी मुद्रा जानबूझकर कमज़ोर रखने का आरोप)

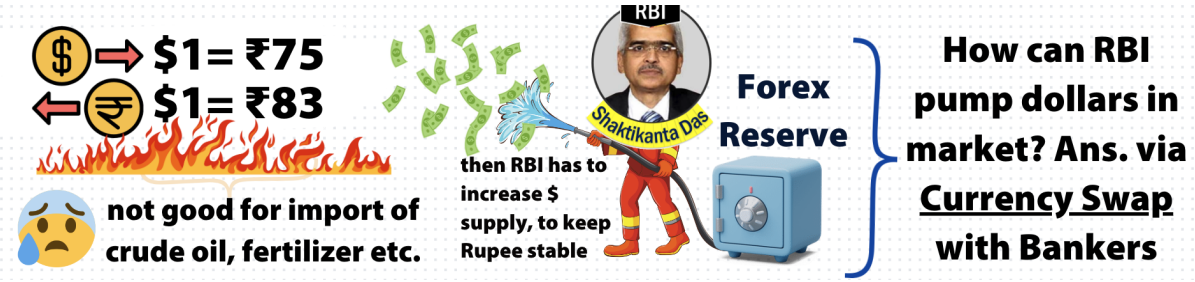
32.2.6 🦅📉 Trump wants dollar weakened with Mar-a-Lago Accord (2025)

- Strong is not good for American exporters. Therefore,
- 1985: "Plaza Accord": France, Japan, West Germany, UK agreed with the US to jointly weaken the dollar. (because America had threatened those nations with high tariffs)
- 2025: Trump is proposing "Mar-a-Lago Accord^^" with same objective- To weaken the dollar. (^^ It is name of his resort/hotel.)
- **How will it work?** Example, if China signs this agreement → China sells large amount of dollars from its Chinese forex reserve (& purchases Yuan currency from market) → Dollar will become weaker, helping American exporters. Deal is not yet made as of 05_Apr_25.

32.2.7 💱⚔️Reverse Currency war- NOT IMP?

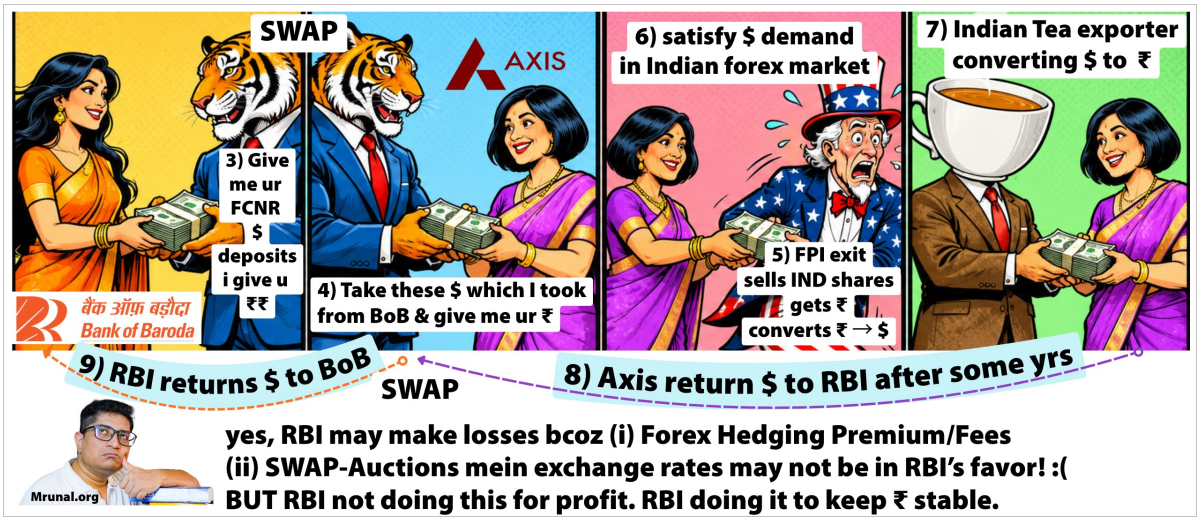
I don't find it important for exam, until future Economic Surveys talks about it however you can satisfy your intellectual curiosity from YouTube: https://youtu.be/OFj-oz-DeQI

32.3 🐯 RBI'S CURRENCY SWAPS/ FX-SWAP (मुद्रा स्वैप/अदलाबदली समझौता)



32.3.1 🐯🍬🐷 2026-Attract-$: RBI's FCNR Swap, Hedge reforms temp boost long term pain?(2026)

- 2025: Indian bankers paid 3–4% interest on FCNR deposits due to RBI rules and currency-hedging (insurance) costs.
- 2026-RBI Temporarily removed the ceiling (maximum interest rates) that bankers can offer to long-duration FCNR deposits, non-resident external (NRE, etc.). This will help attract more dollar deposits to India to stabilize Indian Rupee.
- RBI promised to cover (hedge) the exchange rate risk/cost on the principal amount to be paid by bankers to those FCNR depositors.
- Result? Bankers were able to offer better 6–7.5% interest on FCNR deposits against a historical low 3–4% → $130+ billion worth of deposits received (2026 June-Sept).



- RBI to swap those dollar deposits into its forex reserve and then swap it with other banks/NBFCs to control the fall of the rupee.
- In the past, similar steps done in past by RBI Governor Dr. Raghuram Rajan (2013-16).

👎 **Criticism?**

- Normally, we get ~$30 bn FCNR, but this is ~130+ billion (due to temporary reforms by RBI).
- So, after the discontinuation of the scheme, if the same amount of fresh deposits are not coming, then it is difficult to honour the obligation without making losses in forex reserve.
- Bcoz, when such deposits mature (after 3–5 years from now), we will see a huge outflow of interest (Current Account) and principal (Capital Account).
- This could again weaken the rupee due to adverse balance of payment.
- So RBI's short term-solution is going to cause long-term pain!- fears theHindu.

FAQ: **will this change in money supply - not cause XYZ problem- in inflation, loan interest rate etc?** Ans. look at one photo frame at a time. Do not make Birbal Khichdi unnecessarily.

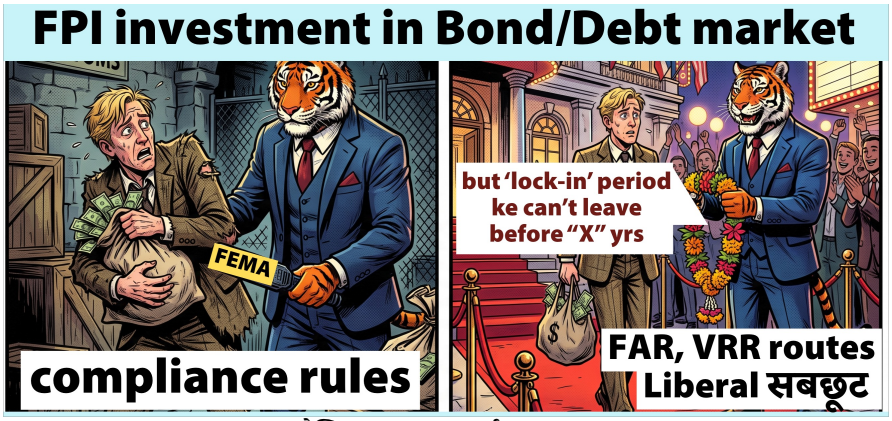
32.3.2 🐯💸💰 RBI's Currency Swap Agreement with Japan & other nations (मुद्रा स्वैप/अदलाबदली समझौता)

1. i'll give u dollars from my forex reserve, IF u've get into crisis.
2. but later u've to return it with "X" Terms & conditions

i'll do the same for you!

e.g. Central banks of India and Japan signed Currency Swap Agreement of $75 billions i.e. either party can use that much dollar currency from other party's forex reserve during the crisis.

32.3.3 🐯💸💰 2026-Attract-$: Currency Exchange Rate → Attracting Dollars: VRR and FAR



- Voluntary Retention Route (VRR: : स्वैच्छिक अवधारण मार्ग) and Fully Accessible Route (FAR: सम्पूर्णत: सुगम्य मार्ग) are technical rules / systems of RBI to encourage foreigners to buy Indian companies' Bonds and Indian Govt's G-Sec.
- 2026- RBI liberalized these rules further as ₹ was falling to ₹96 against dollar.
- How exactly they work? Ans. Technical stuff, NOT IMP for Exam.Move to next topic.

32.3.4 🍋 2026-Attract-$: govt scraps some taxes on FPI investment in G-sec(ref#2A)

Already covered in pillar2A

32.3.5 🐯🦁RBI Toolkits: CRR SLR exemptions, ECB Limits (2022)

Some more example toolkits used in 2022

⇒ 🐯RBI Exempts Foreigners' deposits in Indian bank from CRR and SLR. This will encourage bankers to offer attractive deposit interest rates to such clients → ↑ dollar flow → stable rupee / prevent weakening of rupee (in the aftermath of US Fed Tapering). How? Ref this Video for more: https://youtu.be/KoiXkAreWoA (विदेशीयो के द्वचत खातों पे भारतीय बेंको ने सीआरआर व एसएलआर नहि निभाना होगा। ताकि उन खातों पर भारतीय बेंकर विदेशी व्यक्ति को ज़्यादा ब्याज-दर दे सके और विदेशी लोग आकर्षित होकर ढेर सारा विदेशी धन भारत में लेकर आए।)

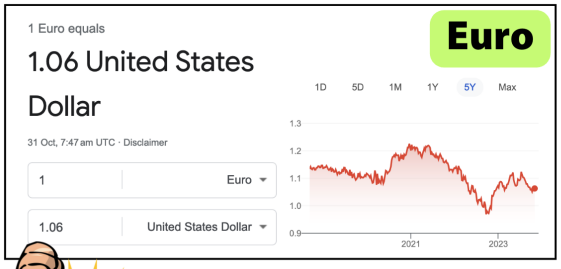
⇒ 🐯 (2) RBI increased with the limit of external commercial borrowings (ECB) from present 750 million dollars to to $1.5 billion per financial year.

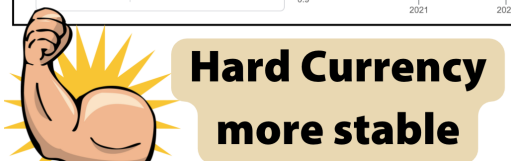
MCQ. **Find correct *statements : (UPSC-CDS-2024-2)***

- *1. A rupee Vostro account is an account that an Indian bank holds for a foreign bank in the domestic currency (rupee) to enable domestic banks to provide international banking services.*
- *2. Insurance density, i.e., average insurance premium per capita does not fully capture the financing gap in the event of a premature death because most of the insurance products sold in India are savings-linked with a small component of protection. (**Ref**: Pillar#1D-insurance)*

Codes: (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

32.4 💪 Soft vs Hard Currency



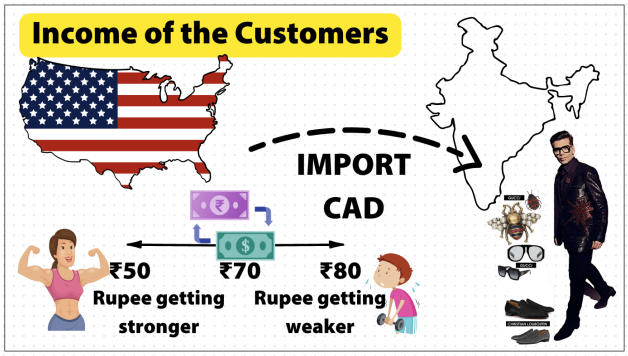


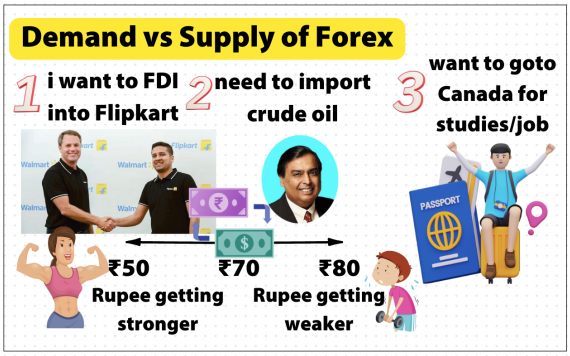
Type	💪Hard currency	Soft currency
Volatility in exchange rate	low volatility	high volatility
Examples	Dollar, Pound, Euro etc	poor countries in Africa & Asia

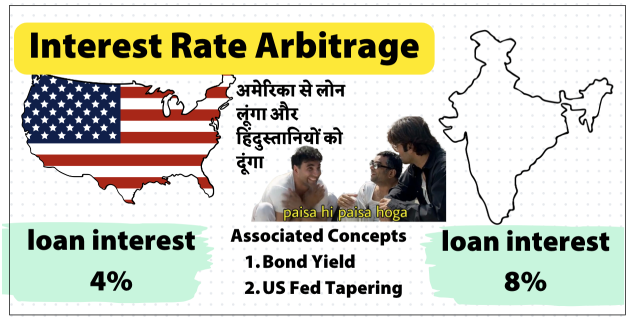
32.4.1 💪 Soft currency - factors affecting

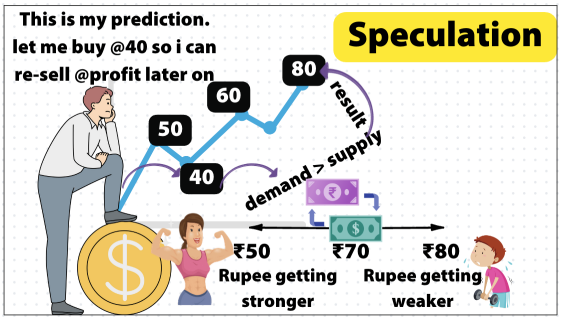
32.4.2 💸😎 Rising imports inevitable with rising middle class— says 📕ES26:

- As India's middle class grows, demand for imported goods — branded electronics, luxury items, foreign travel, better medicines — will naturally rise.
- Every developing nation has gone through this, India is not an exception.
- But rising imports must be paid for by rising exports. Otherwise CAD widens → rupee weakens.









⇒ 1) Income of customers 2) Demand vs Supply of Forex

⇒ 3) Interest Rate Arbitrage 4) Speculation.

32.4.3 Soft Dollars vs Hard Dollars

⇒ This is a technical concept associated with American Sharemarket mutual fund commission. Not very imp for our exam, Irrespective of the useless MCQ in private mock tests.

32.5 Bad Money drives out good money / Tughluq / Gresham

⇒ "Bad money drives out good money." Thomas Gresham's law (Britain)

⇒ "Good money drives out bad money" Adolphe Thiers's law (France)

⇒ People stop using currencies that they consider to be of poor quality and adopt currencies that are found to be of better quality. AND/OR

⇒ People hoard/store the currency that they find to be of better quality.

FAQ: aren't these two laws contradictory- one says good money drive bad money whereas other statement says bad money drives out good money? Ans. Depends on MCQ Statement.

32.5.1 Bad Money vs good money - Modern examples- Zimbabwe Gold Coin

⇒ 2008: Zimbabwe ki local public prefers to use American dollars over their local currency due to hyper-inflation.

⇒ Once the price of a loaf of bread = 10 million Zimbabwe dollar currency units. So, it was more convenient to carry American dollars in pocket (=good money), than Zimbabwe currency in a truck/cart (=bad money). = "Good money drives out bad money" Adolphe Thiers's law (France)

⇒ 2022: Zimbabwe launched Gold coin currency called **'Mosi-oa-Tunya'** (priced at 1 coin = $1,800) because their public doesn't trust the local paper currency due to hyper-inflation.

⇒ 2022: Foreigners DONOT ACCEPT the **FIXED exchange rate of Sri-Lankan Rupee** Because Sri-Lankan Rupee at fixed exchange rate (Dollar=200) is BAD MONEY for them.

FAQ: I've 500 jaat ke counter argument / doubts ke why X didn't happen in Y? and why "A" should be called "B"? or can we say "C" also is example of "D" ? *Ans. NOTIMP4exam*

32.6 EXCHANGE RATE REGIME: HISTORIC

32.6.1 Fixed exchange rate system → Gold Standard; सोने के मानक/ स्वर्णमान (1870-1914)

- **Gold Standard**: USA issued $1 for 14g gold, UK issued £1 for 73g gold
- It was easy to calculate currency exchange on the ratio of gold I.e. 1 Pound = ~5 USD.
- **Gold Conversion**: Central Banks guaranteed conversion of paper currency into gold coins/biscuits.
- **Bimetallism**: Nations adopted dual backing (gold/silver) when gold mining declined.
- **Collapse**: Gold standard ended during WW1 due to governments printing more money than gold reserves allowed, to finance war expenses.

32.6.2 Fixed exchange rate system → Bretton Woods System (1946-1971)

⇒ Here, IMF linked price of dollar to gold. $1 = 1/35 ounces of gold; $35 could be exchanged for 1 ounce of gold at the USA Federal Reserve.

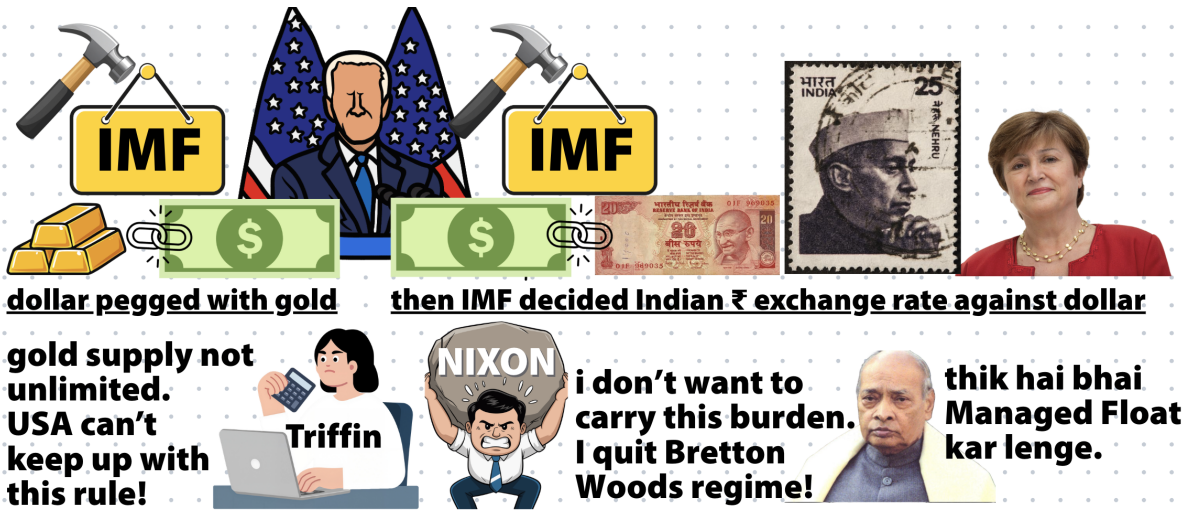
⇒ Other Currencies were pegged linked to the US dollar; e.g., ₹1 = $0.30 = ~0.24g gold. If India printed excess currency, then IMF-enforced devaluation.

⇒ **Triffin Dilemma**: USA Economist Robert Triffin predicted collapse of this system, due to limited gold supply and rising gold prices.

⇒ **End of Gold Standard**: In 1971, President Nixon ended the gold convertibility system to print more dollars for Cold War expenses.

⇒ **Floating Exchange**: USA and other nations shifted to floating/managed-floating systems.

⇒ **Dollarization**: In 2000, Ecuador adopted the US dollar as its official currency.



32.6.3 Currency Exchange in India

We need not waste time looking at what was the system in India before 1995.

<u>But for reference of non-UPSC Exams:</u>

Towards Fixed Exchange Rate: निश्चित विनिमय दर की ओर →

➢ 1860 onwards: **Fixed Fiduciary System**. i.e. British Indian Govt can issue Rs.10 crore notes on fiduciary ("trust") backed by G-Sec. Beyond that every note must be backed by gold / silver. British govt fixed exchange rate between Rupee currency with Pound.

➢ 1923: **Dr. Bhimrao Ambedkar**'s doctoral thesis "The Problem of the Rupee" analyzed the economic consequences of the British colonial government's policies on the Indian currency. He argued ke exchange rate between the Indian rupee & the British pound was unfavorable to India.

➢ 1925: **Hilton Young** commission fixed exchange rate of Rupee (separate note in next section)

32.6.4 Hilton Young Commission (1925) — Overvalued Rupee to help Britishers

- 1925: Royal Commission on Indian Currency and Finance headed by Hilton Young
- He recommended to setup RBI (ref 1B) & fix rupee at 1 shilling 6 pence (= 1/13th British pound)
- This rate **artificially overvalued** the rupee against pound, resulting into following consequences:

Effect of over-valued ₹	Description
Indian exports became expensive	Foreign buyers had to pay more → Indian goods competitiveness in world market ⇓ declined
British factory imports became cheap	Indians could buy British manufactured goods at lower cost → Indian local industry hurt
CAD worsened	Exports ⇓, Imports ⇑ → current account deficit
Drain of wealth accelerated	Strong rupee = British officials could convert Indian salary into more pounds → sent larger **remittances** to their home (in Britain)
Credibility	Since British Officials 'fixed' a stable exchange rate, it signalled to London lenders that India could repay the sterling debt without exchange rate related volatility. So it improved India's credit-worthyness in London's financial markets.

MCQ. Hilton-Young (1926) prescribed artificially fixed rupee-sterling exchange rate why?

(a) Aiding the flow of remittances from India and maintaining India's creditworthiness

(b) Providing support to Indian importers (c) Encouraging export of cotton produce from India

(d) Preventing depreciation of the Rupee in terms of gold (Asked in IAS-2026)

32.6.5 Exchange Rate of Rupee (1935) – Proportional reserve & Bretton Woods

➢ 1935 onwards: **Proportional Reserve.** RBI must keep ~40% gold to the value of currency issued.

➢ 1946 onwards: **Bretton Woods** / IMF system of fixed exchange rate. Wherein ₹ price was fixed (pegged) against dollar, and dollar price was fixed (pegged) against gold.

➢ 1956 onwards: While RBI could issue any amount of Indian currency but that has to be balanced by the Assets of the issue department (Recall M0). Of course, if RBI printed too much currency backed by only Indian G-sec but (without adequate Gold / Forex Reserve, then IMF may force ₹ devaluation against Dollar). So, we adopted "**Minimum Reserve System**" i.e. RBI must keep ₹ 400 crore of foreign currency/security + ₹ 'x' crore worth gold.

32.6.6 Towards Managed Floating Exchange Rate (1995) →

✓ 1995 onwards: "Minimum Reserve System; न्यूनतम आरक्षित प्रणाली" is continued but RBI is required to only keep ₹ 'x' crores of gold. No compulsion for RBI to keep additional 400 crore worth foreign currency or foreign securities. RBI can print as much currency it wants as long as its balanced by the Assets of Issue Dept. (such as Indian G-sec, Foreign Securities, Gold etc.)

Minimum Reserve system	Managed Float system
How much money [M0] can RBI generate?	How will currency exchange rate decided?
RBI कितना पेसा छाप सकती है, उससे जुड़ा हुआ concept है	मुद्रा विनिमय दर कैसे तय होता है? उससे जुड़ा हुआ concept है

32.6.7 🌈 Liberalisation of currency exchange (मुद्रा विनिमय में उदारीकरण)

To address the 1991's balance of payment crisis- following currency exchange system reforms done:

Year	⇒ Event
1991-July	⇒ RBI (Govt)^^ officially devalued Indian rupee against dollar by 18–19% ⇒ रुपये का अवमूल्यन किया गया/ डॉलर के मुक़ाबले कमज़ोर किया गया।
1992	⇒ Dual exchange rate regime. Importers can buy 1) some dollars at free-market rate and 2) some dollars at RBI determined fixed exchange rate. (दोहरी विनिमय नीति)
1993	⇒ India officially moved from "Fixed" to 'Managed float exchange rate' regime. In other words, 1992's 'dual exchange rate' regime was discontinued, so this new system also called 'unified the exchange rate' because there is single exchange rate. (एकल विनिमय नीति)
Result	⇒ India's exports improved with weakening of rupee. भारतीय रुपए के अवमूल्यन/कमजोर होने से, भारत के निर्यात में वृद्धि हुई

^^ 🚩👶🏻 **FAQ: isn't it the role of RBI to do this? Why have you written government?** Ans. Yes, RBI's role.But when UPSC examiners make MCQs related to devaluation, they use the word RBI/Govt interchangeably- as evident from the PYQs and official answerkeys related to this topic

🔠 ***MCQ. Assertion (A) : The rate of growth of India's exports has shown an appreciable increase after 1991. Reason (R) : The Govt. of India has resorted to devaluation. [Prelims-2000]***

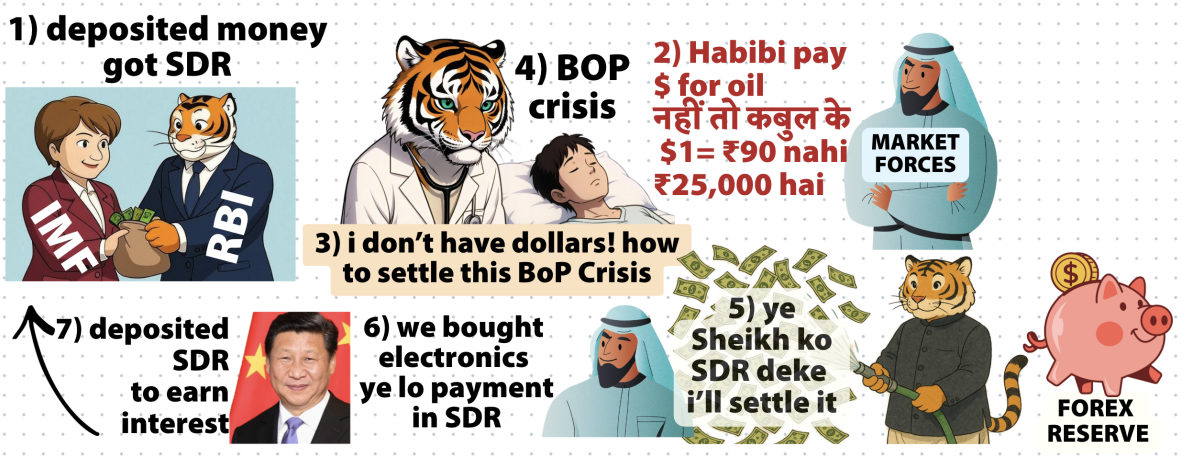
(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is not a correct explanation of A
(c) A is true but R is false *(d) A is false but R is true*

32.7 💱👵🏾IMF Special Drawing Rights (SDR: विशेष आहरण अधिकार)

After the collapse of Bretton Woods Exchange Rate System, IMF was converted into a type of 'deposit bank', where the members would deposit currencies in the proportion of quotas allotted to them (depending on size of their economy, openness etc).

- IMF will pay them a small interest rate for their deposits. And IMF would lend this money to a member facing balance of payment crisis. To operationalize this mechanism, IMF would allot an artificial currency / accounting unit called SDR to the members based on their deposits. (सभ्य देश द्वारा जमा की गयी राशि के सामने उसे एक कृत्रिम मुद्रा / लेखा इकाई दी जाती है, जिसे एसडीआर कहते है)

- Initially the price of SDR was fixed against the amount of gold but present mechanism:



Currency Basket	Weight	Exchange rate against $?
U.S. Dollar	43.38%	$1=$1
Euro	29.31%	1.13
Chinese Yuan (Renminbi *added in 2015)	12.28%	6.7
Japanese Yen	7.59%	And so on
Pound Sterling	8.09	And so on

- By applying a formula involving (weight * exchange rate), IMF will obtain value of 1 SDR = how many dollars? Presently, 1 SDR = $1.40 = ₹ 98 (assuming $1 is trading @₹ 70).
- SDR is called **'Paper Gold'** because it's merely an accounting entry or artificial currency, without any gold involved. (इसकी पीछे कोई स्वर्ण नहीं है , केवल एक हिसाब किताब की एक प्रक्रिया है)
- SDR can be traded among the members, it can be converted into members' currencies as per above method & be used to settle their Balance of Payment Transactions / Crisis.
- If the BoP crisis is so big, that a country's entire SDR quota exhausts, then member country may borrow more SDR from IMF (and then convert it into dollar etc to pay off the import bill), but eventually member will have to repay this loan to IMF with interest.
- Individual nations' central Banks keep some of the SDR as **Reserve Tranche Position** (RTP):

  What that means and how does that work is not important. #⏰थोड़ा-पढ़ो-आगे-बढ़ो

😤 **FAQ/MORAL Outrage: Why Indian Rupee currency is not in SDR formula?**

⇒ ANS. IMF reviews the SDR formula's currencies every five years -with two conditions

⇒ [A) Country must be among the Top exporter Nations.

⇒ [B) Country's currency need to be "freely usable" (= capital account convertibility rules shd be easy/liberal.).

32.7.1 💱👵🏽IMF SDR Formula weightage reforms 2022

	🌷Latest weighting	🥀Previous weighting
U.S. Dollar	**43.38%**⬆️	**41.73%**
Euro	**29.31%**	**30.93%**

	Latest weighting	Previous weighting
Chinese Yuan (Renminbi *added in 2015)	12.28%⬆️	10.92%
Japanese Yen	7.59%	8.33%
Pound Sterling	7.44%	8.09%
Total	100%	100%

Reason for reform: IMF directors felt this reform was needed based on international trade and financial market developments from 2017 to 2021.

32.7.2 💱🐵IMF Quota Reform

- **2016**: The total SDR increased, and India's quota was increased from 2.44% to 2.76%
- India is 8th largest quota holder after USA (~18%), Japan (~7%), China (~6%)... India (2.76%)
- **2021:** IMF members approved adding extra $650 billion dollars worth of SDR to IMF. India's likely to get 2.76% of 650 billion = Approx. 17to18 billion dollars worth of SDR.

32.7.3 💱🐵IMF Governors

- In IMF, a member's voting power depends on his SDR quota.
- For India, this voting power is exercised by India's **Finance Minister – who acts as the ex-officio Governor** in IMF's Board of Governors. (वित्त मंत्री होते है आईएमएफ के पदेन / पद के हिसाब से गवर्नर)
- If Finance Minister absent, then **RBI Governor** can vote as the **Alternate Governor** during the IMF's meetings. (वित्त मंत्री की गैरहाजरी मे वैकल्पिक गवर्नर के रूप में रिज़र्व बैंक के गवर्नर वोट देने जा सकते हैं)

🔠❓ **MCQ. Recently, which one of the following currencies has been proposed to be added to the basket of IMF's SDR?** (UPSC-Pre-2016) (A) Russian Rouble (B) South African Rand (C) Rupee (D) Renminbi

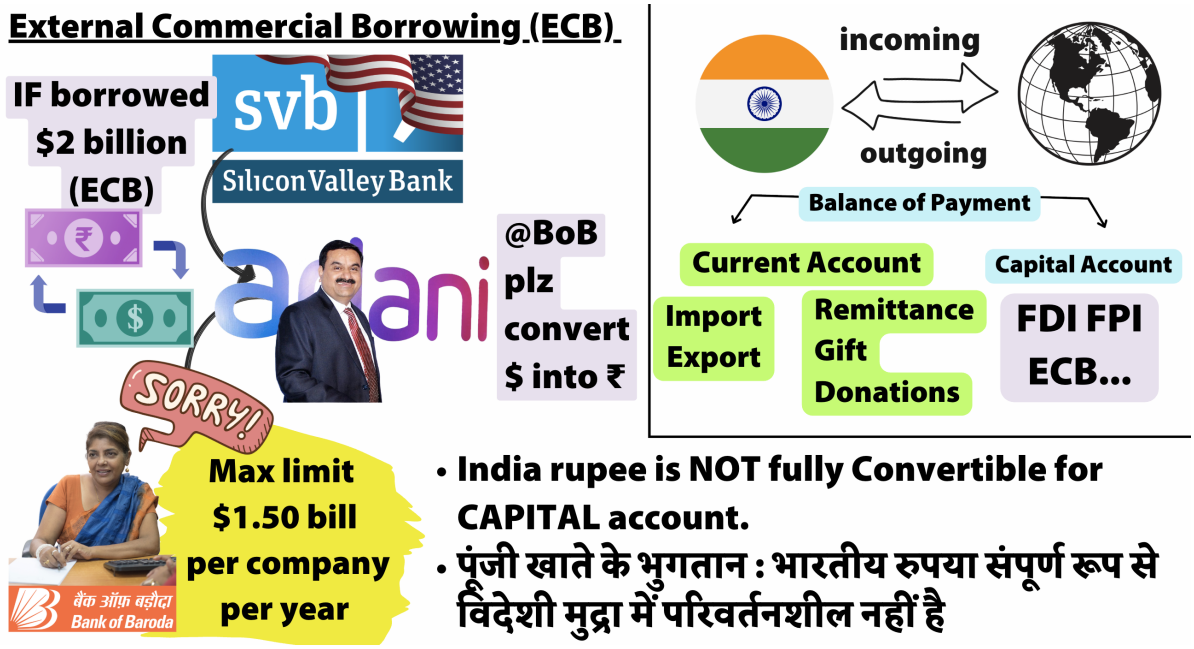
32.8 💱⛽🤲 Currency Convertibility (मुद्रा परिवर्तनीयता)

- Presently, India has managed floating exchange rate system wherein, currency exchange rate is determined by the market forces of supply and demand, however, during high level of volatility RBI will intervene to buy / sell ₹ or $ to stabilize the exchange rate.
- But if people are allowed to convert the local and foreign currency in an unrestricted manner → so much volatility that RBI will not be able to manage. (अमर्यादित रूप से लोगों को मुद्रा परिवर्तित करने दी तो विनिमय दर में इतनी भारी अस्थिरता होगी जिसे रिजर्व बैंक काबू नहीं कर पाएगा😰)

So, RBI puts certain restrictions on the convertibility of Indian rupee to foreign currency using the powers conferred under

- Foreign Exchange Regulation Act, 1973 (FERA: विदेशी मुद्रा विनियमन अधिनियम)
- FERA was later replaced by Foreign Exchange Management Act, 1999 (FEMA: पुराने कानून में मज़ा नहीं आ रहा था तो सरकार ने नया कानून बनाया- विदेशी मुद्रा प्रबंधन अधिनियम)

32.8.1 RBI restriction on convertibility of rupee: पूंजी खाता लेनदेन पर रुपये की परिवर्तनीयता



32.8.2 BoP → Capital Account restrictions → External commercial borrowing (ECB)

- RBI's ECB ceiling is up to $1.50 billion (or equivalent other currency) per year for Indian Companies. [बाहरी वाणिज्यिक उधार: भारतीय कंपनियां प्रतिवर्ष इस मात्रा से ज्यादा कर्ज विदेशों से नहीं ला सकती]
- That means even if Bank of America was willing to lend $3 billion to Reliance ltd, Mukesh Ambani can't bring all those dollars (or its converted rupee equivalent) in India.
- If he tries through illegal methods like Hawala, then Enforcement Directorate (ED प्रवर्तन निर्देशालय) will take action for FEMA violation.

32.8.3 BoP → Capital Account restrictions → Investment → FPI/FDI

- **FPI Limits**: Foreign Portfolio Investors (FPI) can't invest more than 5% in G-secs and 20% in corporate bonds in India. Thus, FPIs like Morgan Stanley can't bring unlimited money to India.
- **FDI Restrictions**: Government sets FDI policy; RBI controls currency conversion based on it. For example, foreign investment in casinos is prohibited.
- Thus Indian rupee is not fully convertible for capital account transactions, preventing unrestricted foreign investments.

32.9 Convertibility on Current account transactions: चालू खाता लेनदेन पर

32.9.1 *BoP → Current account Restrictions → Trade → import (of Gold)*

⇒ During 2013 to 2014, RBI's 80:20 norms mandated min.20% of the imported gold must be exported back.

⇒ Until then Jeweller/bullion dealers will not get permission to (convert their rupees into dollars/foreign currency) to import next consignment of gold.

⇒ However, if we disregard such few rare examples/restriction, **Indian rupee is considered fully convertible on current account** transactions (i.e. Import and export, remittance, income transfer gift and donations) since 1994. चालू खाता लेनदेन पर रुपये की परिवर्तनीयता सम्पूर्ण है।

32.9.2 💸✋ Full convertibility of Rupee : रुपये की पूर्ण परिवर्तनीयता?

Meaning? India should permit unrestricted conversion of Indian ₹ to foreign currency for both current account and capital account transactions. ⟶ more FDI investment in India ⟶ NPA problem solved, new factories, jobs, GDP growth, rivers of honey and milk will flow.

😡**Anti-Arguments:**

- ✖ Before 1997, East Asian "Tiger" economies: (South Korea, Indonesia, Malaysia, Thailand, Vietnam Philippines etc.) allowed full capital account convertibility to attract FDI.
- ✖ But 1997: Their automobile & steel companies filed bankruptcy ⟶ The foreign investors panicked, sold their shares and bonds ⟶ got local currency ⟶ converted into $ and ran away. The flight of this **'HOT MONEY'** resulted into extreme depreciation of local currency $1 = 2000 Indonesian Rupiah ⟶ $1= 18,000 Indonesian Rupiah ⟶ heavy inflation in petrol diesel ⟶ social unrest, riots and political instability. None of their central banks had enough forex reserve to combat this crisis. (यदि भारत में इसकी अनुमति दी तो दक्षिण कोरिया और इंडोनेशिया जैसी समस्या हो सकती है)
- ✖ So, in 1998, their GDP growth rates fell in negative territory e.g. Indonesia (-13.7%) Because of their mistake of allowing full currency convertibility. Whereas India and China grew at 6-8% because we had not allowed it.

32.9.3 💸✋₹🕵♂ Convertibility ⟶ S.S. Tarapore Committee (1997)

He suggested India to allow full Capital Account Convertibility (CAC) only when the fundamentals of our economy become strong enough, such as: (तारापुर समिति के हिसाब से यदि भारतीय अर्थतंत्र की बुनियाद एकदम मजबूत हो जाए तो पूर्ण परिवर्तनीयता अनुमति की देनी चाहिए)

⇒ RBI must have enough forex to sustain 6 months' import

⇒ Fiscal deficit must not be more than 3.5% of GDP

⇒ Inflation must not be more than 3-5%

⇒ Banks' NPA must not be more than 5% of their total assets. And so forth. So, time is not yet ripe for allowing full CAC.

🔠❓ **MCQ.** ***Convertibility of rupee implies:(Pre-2015)*** *(a) being able to convert rupee notes into gold. (b) Value of rupee to be fixed by market forces. (c) freely permitting the conversion of rupee to other currencies and vice versa. (d) developing an international market for currencies in India.*

32.9.4 💸✋🐯 ₹ Convertibility ⟶ RBI reforms (2004-2019)

While RBI has not permitted full convertibility of Indian rupee (on Capital Account), but over the years it has liberalised the norms, such as (पूर्ण रूप से छूट तो नहीं दी, लेकिन उदारीकरण सरलीकरण किया है)

⇒ **2004 ⟶** **Liberalised Remittance Scheme** (LRS: उदारीकृत विप्रेषण योजना) for each financial year, An Indian resident (incl. minor) is allowed to take out upto $2,50,000 (or its equivalents in other currencies) from India.

⇒ He may use it for either current account or capital account transaction as per his wish. (e.g.

paying for college fees abroad, buying shares, bonds, properties, bank accounts abroad.)

⇒ 😨**Controversy?** Panama papers allege certain Bollywood celebrities used LRS window to shift money from India in their shell companies in tax havens → later used those shell companies for tax avoidance. [Ref: Black Money Handout for more]

⇒ 2016 onwards: RBI began relaxing the norms for External Commercial Borrowing (ECB),

	Before-2016	2016 onwards	2022 onwards
ECB limit →	more strict	relaxed to $750 million per company per year.	$1.50 billion per company per year.

(✋Although ECB is prohibited in certain categories e.g. purchase of farm house, tobacco, betting, gambling, lottery etc. कुछ क्षेत्रो में विदेशी कर्ज लेने की मनाई)

32.9.5 💸 FDI inflow can strengthen ₹ even if import ⇈ - says 📕ES26:

- Common assumption: trade deficit ⇈ → rupee ⇊. But In FY08, FY18 and FY22 — imports surged, trade deficit widened, yet rupee strengthened.
- Reason: strong FDI and FPI inflows

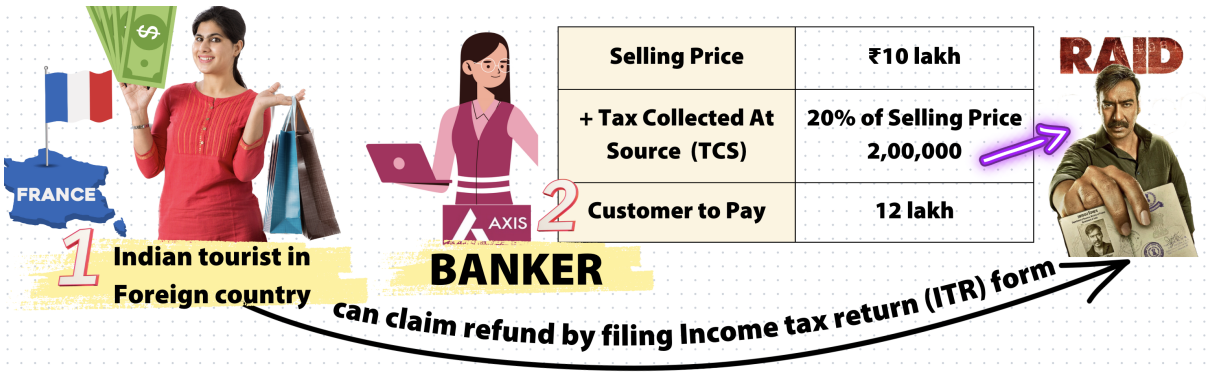
32.9.6 💳 (Prepaid) Forex Card?

- Forex cards are prepaid cards. You first give rupee currency to Bank/NBFC → they'll topup/fill foreign currency inside a card.
- e.g. HDFC Hajj Umrah Card (Saudi Riyal Currency) pay Rs.2.65 lakh to HDFC to get Prepaid Forex card worth 12000 Saudi Riyal balance.
- need not carry physical foreign currency to Saudi. Swipe the card for shopping in Saudi.

32.9.7 💳💰 ZERO Forex Cards

- Normally, bank/NBFC charge 3–5% fees on transaction on the Forex Cards.
- But, some new-age Financial Technology companies (FinTech) e.g. Niyo Global - have tied up with bankers to issue forex cards at 0% fees.
- These are called "Zero Forex Cards"

32.9.8 🍋🗽🗼👜LRS: TCS on Foreign: trip / shopping / investment (2023-Oct)

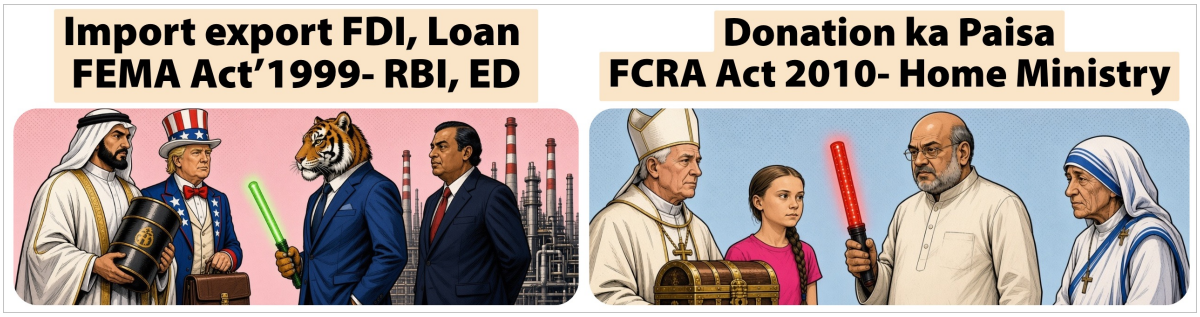


⇒ Under the RBI's LRS scheme, an individual can remit up to USD 2.5 lakh annually overseas without approval of the RBI. (2.50 lakh Dollars= 2.07 crore Rupees; when 1Dollar=83Rs)

⇒ Remittances beyond the USD 2.5 lakh or its equivalent in foreign currency require approval from the RBI.

⇒ If Indian resident spending money abroad, his banker/NBFC/Forex supplier in India is required to collect TCS. Ref 2A1- direct taxes for more.

32.9.9 ⚖️ FCRA Act 2010 vs FEMA Act 1999



Sr	MATTER	RULES/LAWS APPLICABLE→
1	is Indian sending money abroad for current account or capital account transactions?	Yes→FEMA Act 1999→ LRS (liberalized remittance scheme)
2	is foreign money coming to India for Indian export earning payment, FDI/FPI/ECB loans etc ?	Yes→ FEMA Act 1999
3	is foreign money coming to India for matters other than cell#2. e.g. donation, remittance to India etc.	Yes→ FCRA Act 2010

32.9.10 ⚖️ FCRA Amendment Bill Controversy- NGO ki asset takeover? (2026)

Year	Event
1976	FCRA first enacted (Emergency era, **Indira Gandhi** govt) — due to fear of foreign money influencing Indian politics via NGOs
2010	Old law replaced by FCRA 2010 (UPA/Congress govt). Mandatory registration for NGOs to accept foreign funds. 5 categories: cultural, economic, educational, social, religious.
Past decade	**Ministry of Home Affairs (MHA)** cancelled 20,000+ FCRA registrations for threat to national security, being puppets of foreign powers, doing illegal religious conversion, engaging in political activities, et cetera.
2026-March	**FCRA Amendment Bill 2026 with controversial provisions:** (1) If FCRA license cancelled/ not renewed, then Govt can takeover the property via a new designated body. Then govt will have freedom to sell / transfer this property (2) NGO must disclose social media handles & such handles must not engage in political content, and other tighter more compliance rules
2026-Aug	Christian missionaries/NGO from Keralam, Nagaland, Mizoram, etc. feared such amendments could be misused for Govt taking over their property. After continuous protests by opposition, govt transferred bill to a Joint Parliamentary Committee (JPC)

32.9.11 ⚖️ FCRA on remittance limit hiked to stabilize ₹₹ (2022)

	BEFORE	After 2022-reform
How much money can Indian receive from his relatives abroad without informing the authorities.	₹1 lakh	₹10 lakhs

🤩Benefit? Ease of receiving foreign money without legal-paper-work → more $ to India→ prevents rupee weakening. (बिना सरकार को सूचित किए सालाना 10 लाख रुपये विदेश से रिश्तेदारों से मँगवा सकते हैं.)

32.10💸INTERNATIONALISATION OF INDIAN RUPEE (भारतीय रुपये का अंतरराष्ट्रीयकरण)

CURRENCY	SHARE IN GLOBAL FOREX RESERVES AS PER 📙ES23
US dollar (USD)	88%
Indian rupee (INR)	1.6%
Minimum % required to be called 'international currency'	4% (as per 📙ES23) (अलग-अलग देशों के केंद्रीय बैंक के फॉरेक्स आपूर्ति भंडारों में, जब न्यूनतम/कम से कम 4% जत्था भारतीय रुपए का होगा- तब भारतीय मुद्रा का अंतरराष्ट्रीय करण हो चुका है ऐसा माना जाएगा।)

Internationalization means increasing the use of Rupee for current & capital transactions, and in forex reserve of other nations. (चालू खाते पूंजी खाते, व् अन्य देशों के फोरेक्स भंडारों में रुपए का चलन बढ़ाना)

😍 Benefit (फ़ायदे)	😰 Challenges (चुनौतियां)
reduces the dependence of dollars & currency exchange rate volatility (डॉलर पर निर्भरता तथा विनिमय दर की अस्थिरता कम करेगा)	India does not have enough export products that attract Russians. So, once Ukraine war is over, Russians will not do such deals. India need to increase Quality and variety of its exports. [रूसियों को पसंद है ऐसी बहुत सारी चीज़ें भारत बनाता नहीं इसलिए यूक्रेन युद्ध ख़त्म होने के बाद हो सकता है रूसी हमारे साथ ऐसा समझौता रद्द कर दे]
reduces the danger of "imported inflation" that happened with expensive dollar → expensive petrol. (डॉलर महँगा होने पर भारत में पेट्रोल महँगा हो जाता है उस आयातित महँगाई के ख़तरे को कम करेगा)	if Russian Exporter uses his rupee payment to invest in Indian share market….but when/IF he suddenly quits by panic-selling those shares, it'll crash Indian sharemarket. [रूसी निर्यातक जिसे भारतीय रुपये में पैसा मिला है वह उन्हें रुपयों को भारतीय शेयर बाज़ार में निवेश करेगा। लेकिन जब एक दिन वो अचानक से उन शेयर्स को पानी के भाव बैच के भाग जाएगा, तब भारतीय शेयर बाज़ार गिर सकता है]
reduces India's vulnerability to global-shocks like US Fed Tapering/ Taper Tantrum (अमेरिकी फेड टैपरिंग जैसी वैश्विक घटनाओं में भारत की भैद्यता को कम करेगा)	Increases India's vulnerability to how Russian/Sri Lankan, Non-Indian exporters/investors react to such global situations. (विदेशी निर्यातक जिन्हें भारतीय रुपया में पैसा मिला है वह वैश्विक घटनाओं पर कैसे वर्तन करते हैं उस पर भारत की भैद्यता बढ़ेगी)

😄**Some more benefits?**

⇒ 😄makes it easier for India to trade with countries that are banned by USA and western powers / SWIFT messaging system e.g. Russia, Iran. [अमेरिकी और पश्चिमी महासत्ताओं ने रूस ईरान जैसे देशों पर जो पाबंदियां लगायी है उसके बावजूद भी भारत उन बहिष्कृत देशों के साथ व्यापार आसानी से कर पाएगा।]

⇒ 😄reduces the cost of doing business because Indian businessmen does not have to pay fees/commission to forex agent for converting rupee currency into dollars. [विदेशी मुद्रा परिवर्तित करने वाले एजेंट को फ़ीस नहीं देनी होगी, इसलिए धंधा करने की लागत ख़र्च कम होगी]

✍️**Conclusion:** There are risks but they are unavoidable if India wants to be an 'Atma-Nirbhar' economic superpower.

32.10.1 Nostro Vostro Accounts- settlements with Russia and SriLanka

⇒ India has begun utilising such accounts for doing import from Russia, SriLanka, Malaysia etc.

32.10.2 Special Rupee Vostro Account (SRVA)

⇒ Water's name is H_20. We have already studied this in above section.

32.10.3 🤝💰Rupee Rouble Agreement

Similar to above thing- we import oil from Iran, but instead of paying in dollars, we pay them in Rupee currency thru their Irani oil companies' bank accounts in India.

32.10.4 📡🤝💰 Bharat Connect - FX-Retail platform

platform	Bharat Connect	FX-Retail (2019)
developer	NPCi (Ref: Pillar#1A1)	Clearing Corporation of India Limited (CCIL)
objective	electricity bill, gas bill, etc . Previously called Bharat Bill Payment	to help banks' clients to buy and sell foreign exchange. e.g. Axis, HDFC etc.

2024: RBI proposed to link both platforms to help individuals and MSME to buy forex easily.

32.10.5 💱⚔️🐼💪 Yuan as global currency?

⇒ 2015: Yuan added in SDR basket of currency. ⟶ It ↑ acceptance of Yuan in global economy.

⇒ China is also loaning Yuan to other nations for infra. development in One Belt One Road Initiative (OBOR: एक क्षेत्र एक मार्ग पहल), via AIIB and BRICS bank, and even via Panda Bonds.

⇒ In future, China may have to be less dependent on dollar$ while importing oil, missiles, metal and food commodities- as other nations begin to happily accept Yuan.

⇒ Such Yuan dominance may pose strategic challenges to USA and India.

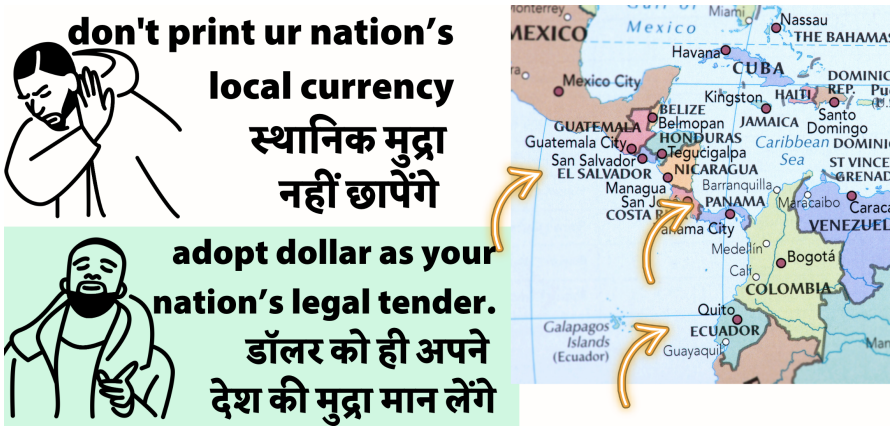
32.11 💰☑ Dollarisation - meaning and examples

⇒ **Dollarisation** = non-USA nations accepting dollar as their legal tender.- e.g. Panama, Ecuador, El Salvador and Guatemala, Marshal Islands etc.

⇒ **Euroization** = Vatican and Monaco accept Euro as their legal tender, even though they're not members of EU union.

⇒ 2023: **Argentina's** new Prez. Javier Milei (an economist) advocating Dollarisation. Reason: High fiscal deficit → monetization of deficit (printing new currency) → Inflation 140% in Argentina.

⇒ To fight inflation → tight monetary policy → expensive loan interest rates in Argentina



32.11.1 💰☑ Dollarisation- Pros

⇒ Domestic central bank cannot trade currency at whim. Monetization of the deficit not possible.

⇒ Little scope for Revdi / populist schemes to win elections. So, Automatic budgetary discipline / fiscal deficit controlled.→ Inflation should get controlled automatically.

32.11.2 💰☑ Dollarisation- Cons

⇒ Supply of money and interest depends on actions of USA.

⇒ Domestic Central Bank loses the monetary sovereignty / independence.

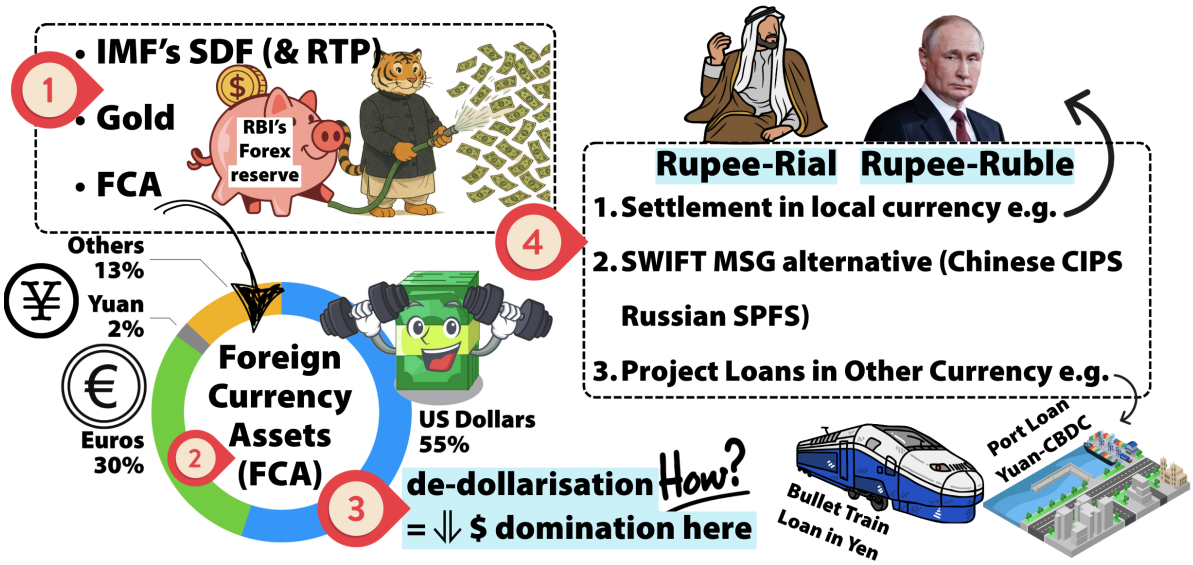
⇒ Domestic central bank cannot act as bankers' bank, lender of last resort.

32.11.3 💰☑ Dollarisation- suitable for what type of nations?

⇒ Suitable for (1) Small sized nation (e.g Marshal Islands) (2) nations with huge exports to USA who can earn dollars. (3) nations with large number of migrant workers sent USA to earn remittance (e.g. Ecuador)

⇒ Argentina is a big nation population wise. It will need $40 billion - even to start this experiment.

32.11.4 💸💪 Dollar- Global Currency & "DE-Dollarization"? (वैश्विक-आरक्षित-मुद्रा)



⇒ Foreign exchange reserves of 150 nations- internal composition is: 55% US dollars, 30% euros, 2% Yuan (Renminbi, Chinese currency) and 13% Misc. other currencies. That shows majority of the nations keep large % of their forex reserve in US dollar. विश्व के ज़्यादातर देशों के विदेशी आरक्षित निधि कोष मैं बहुतायत रूप से डॉलर मुद्रा में इन पैसों को रखा जाता है।

⇒ Thus US dollar is presently the "Global Reserve Currency". (डॉलर को वैश्विक-आरक्षित-मुद्रा माना जाता है।)

⇒ "de-dollarisation" = Attempts to ⏬ the domination of $ in forex reserve and in international transactions. e.g. 2021: Russian Central Bank reduced dollar-denominated assets to 16% in its forex reserve. (विदेशी मुद्रा भंडार में तथा अंतर्राष्ट्रीय लेनदेन में अमरीकी डॉलर का प्रभुत्व कम करना)

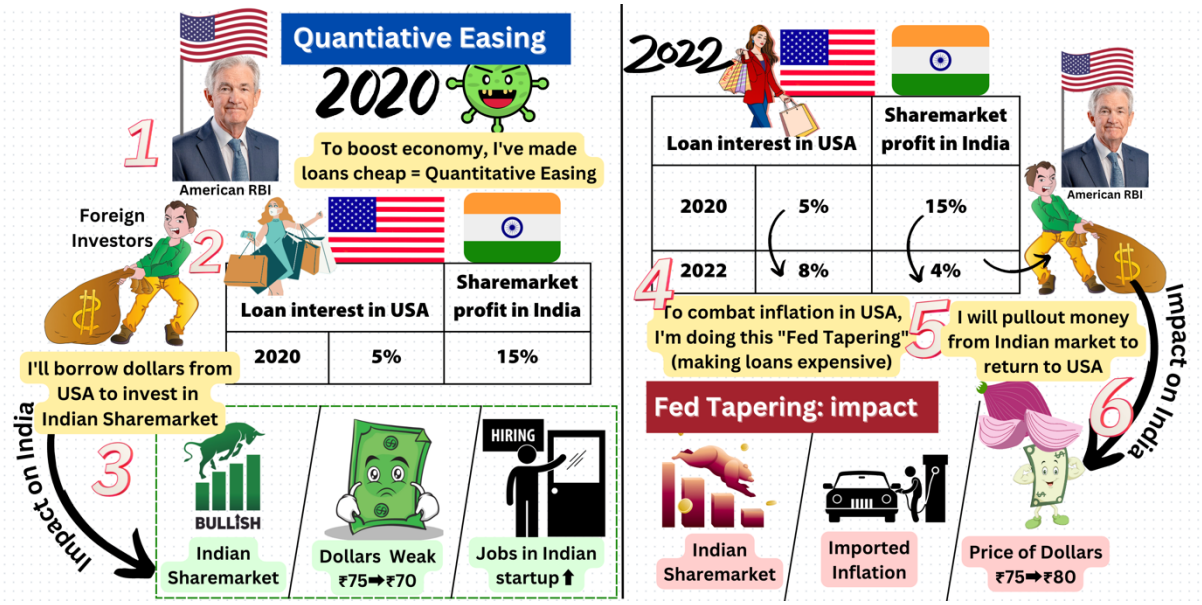
⇒ Can Indian rupee become global reserve currency? Ans. In a very long future yes if, India adopts full capital account convertibility, keeps inflation, fiscal deficit, currency exchange rates under control and becomes a sizeable exporter and global economic superpower. (रुपया-मुद्रा ऐसा दर्जा हासिल करेंगी जब यदि पूँजी-खाते में संपूर्ण रूप से परिवर्तनीयता दी जाए, महँगाई क़ाबू में रहे, राजकोषीय घाटा क़ाबू में रहे, मुद्रा विनिमय दर क़ाबू में रहे, और भारत एक बड़ा निर्यातक और आर्थिक महासत्ता बनकर दिखाए- तो फिर ऐसा हो सकता हे।)

32.11.5 💵🔫😱 De-dollarisation: BRICS vs Trump's threat vs India's clarification

- 2024-Oct: Russian President **Putin** proposed, "(i) BRICS should explore a SWIFT-like cross-border financial messaging system to become immune to Western sanctions. (ii) We should use our national digital currencies (CBDC) in giving loans to projects. This will end U.S. dollar dominance." (Ref: Pillar#1A1 for more on CBDC/SWIFT)

- 2025-Jan: **Trump** threatened, "*if BRICS nations try to replace or undermine the U.S. dollar, there will be severe consequences, including 100% tariffs/taxes on BRICS exports to USA*."
- 2025-March: Minister S. **Jaishankar** clarified, "*India is not involved in any effort within BRICS to reduce reliance on the dollar. Undermining the US currency is not part of India's economic or strategic policy*."
- 2026-BRICS Summit: "we will increase settlements in local currency among member nations"

32.12 Misc. Concepts: Quantitative Easing and Federal Tapering



⇒ 2007-08: Subprime crisis in USA → Borrowers unable to repay home loans → American Banks NBFCs' bad loans / NPA / toxic assets increased → to help them, US Federal Reserve printed new dollars & used $ to buy those toxic assets/bonds (also known as mortgage-backed securities (MBS) → ↑ dollar supply in the system. Known as "Quantitative Easing (मात्रात्मक आसानी)".

⇒ 2013: **American Central Bank** (US Federal Reserve) gradually cut down its toxic asset purchasing program → less quantity of dollars issued → called "Fed Tapering (संघीय टेपिंग)".

⇒ **Result?**= (perceived) shortage of dollars in USA → Loans% become more expensive in USA→ American investors began selling shares/bonds in other countries, and took their dollars back to USA (to lend to local businessmen). This phenomenon was called "Taper Tantrum". It resulted into weakening of other currencies against USD. [गैर अमेरिकी देशों की मुद्राएं बहुत कमजोर हो गई थी]

⇒ **2020:** During Corona, **American Central Bank** again started purchase of Bonds to increase money supply in market. (कोरोना में अर्थतंत्र को पुनर्जीवित करने के लिए वापस ये तमाशा शुरू किया था)

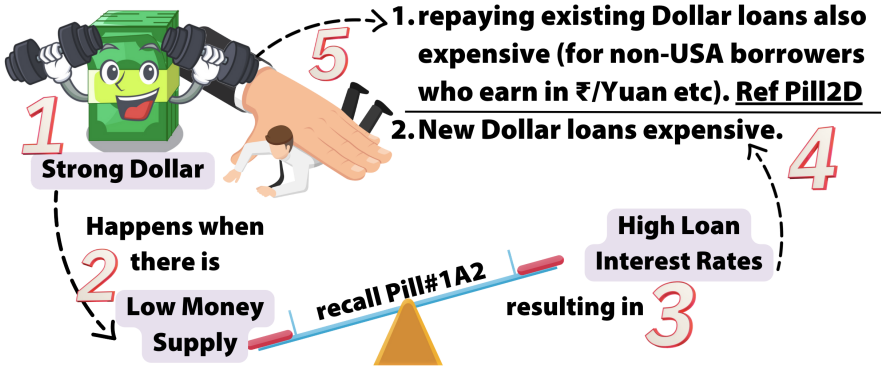
⇒ **Then what happened?** Is explained in above chart, also in Pillar1A2 (MonPolicy) and 1C

MCQ. Find Correct Statements (Prelims-2022)

1. *Tight monetary policy of US Federal Reserve could lead to capital flight.*
2. *Capital flight may increase the interest cost of firms with existing (ECBs).*
3. *Devaluation of domestic currency decreases the currency risk associated with ECBs.*

Codes: (a) 1 and 2 only (b) 2 and 3 only. (c) 1 and 3 only. (d) 1, 2 and 3

32.12.1 🔪🔪😡 Strong dollars squeezes global credit मजबूत डॉलर से वैश्विक कर्ज उपलब्धता को निचोड़ देता है



🆎 *MCQ. **Statement I:** A very strong US Dollar squeezes global credit. (UPSC-EPFO-2023)*

***Statement II:** Many countries and companies outside America borrow in Dollars.*

(a) Both statement I and II are correct and statement II is the correct explanation for I

(b) Both statement I and II are correct and statement II is not the correct explanation for statement I

(c) Statement I is correct but II is incorrect (d) Statement I is incorrect but II is correct

🆎❓ ***MCQ. In India, which are contributors to reducing the risk of a currency crisis? (Prelims-2019)***

(1) The foreign currency earnings of India's IT sector. (2) Increasing the government expenditure. Remittances from Indians abroad.

Answer Codes: (a) 1 only (b) 1 and 3 only (c) 2 only (d) 1,2 and 3 only

🆎❓ ***MCQ. Which one of the following is not the most likely measure the Government/RBI takes to stop the slide of Indian rupee? (Prelims-2019)***

(a) Curbing imports of non-essential goods and promoting exports

(b) Encouraging Indian borrowers to issue rupee denominated Masala bonds

(c) Easing conditions relating to external commercial borrowing

(d) Following an expansionary monetary policy

🆎❓ ***MCQ. The price of any currency in international market is decided by: (Pre-2012)***

1. The World Bank. 2. Demand for goods/services provided by the country concerned.

3. Stability of the government of the concerned country. [उस देश में सरकार की स्थिरता]

4. Economic potential of the country in question. [उस देश की आर्थिक क्षमता]

Answer codes: (a) 1, 2, 3 and 4 (b) 2 and 3 (c) 3 and 4 (d) 1 and 4

🆎❓ ***MCQ. If another global financial crisis happens in the near future, which of the following actions/policies are most likely to give some immunity to India? (Prelims-2020)***

1. *Not depending on short-term foreign borrowings [लघु अवधि के विदेशी कर्ज पर निर्भर न रहा जाए]*
2. *Opening up to more foreign banks [अधिक विदेशी बैंको को शाखाएँ खुलने दी जाए]*
3. *Maintaining full capital account convertibility [पूंजी खाते पर पूर्ण रूप से परिवर्तनशीलता]*

Codes: [a) 1 only [b) 1 and 2 only [c) 3 only [d) 1, 2 and 3

32.12.2 💸⚔️ Misc. Concepts: Helicopter Money & Zero interest rate regimes

- Helicopter Money (Economist Milton Friedman's idea): To fix economic slowdown we should flood economy with cheap/free loans it → demand ↑ → production ↑ → GDP ↑

- Post-2008: Central bank of Europe & Japan followed this with near 0% repo rate. Moreover, they kept Reverse Repo = -0.1%, so, if banker parking surplus money with central bank = guaranteed loss.
- So banks are forced to lend aggressively (telemarketing, SMS spam, email spam) → borrowers get easy loans → spending ⇑

🔠❓ **MCQ. Consider the following actions which the Government can take: (Prelims-2011)**

1. Devaluing the domestic currency. [देसी मुद्रा को कमजोर करें]
2. Reduction in the export subsidy. [निर्यात-सब्सिडी कम करें]
3. Adopting suitable policies to attract greater FDI and FIIs. [विदेशी निवेश को बढ़ोतरी दें]

Which of the above can help in reducing the current account deficit?

Codes: A) 1 and 2 B) 2 and 3 C) 3 only D) 1 and 3

🔠❓ **The effect of devaluation of a currency is that it necessarily _ _ _ . [Pre-2021]**

1. improves the competitiveness of the domestic exports in the foreign markets
2. increases the foreign value of domestic currency [स्थानिक मुद्रा के विदेशी मूल्य में बढ़ोतरी होगी]
3. improves the trade balance [व्यापार संतुलन बेहतर होगा]

Codes: a) 1 Only b) 1 and 2 c) 3 Only d) 2 and 3

32.13 💱 Exchange Rate → Miscellaneous Terms

32.13.1 💸😭 Indian rupee weakened a lot- ADMITs 🟥ES26:

Timeline	2019	2020	2021	2022	2023	2024	Jan 2025	Dec 2025	Oct 2026
dollar to rupee	70.42	74.13	73.92	78.60	82.23	83.45	86.20	90.15	96

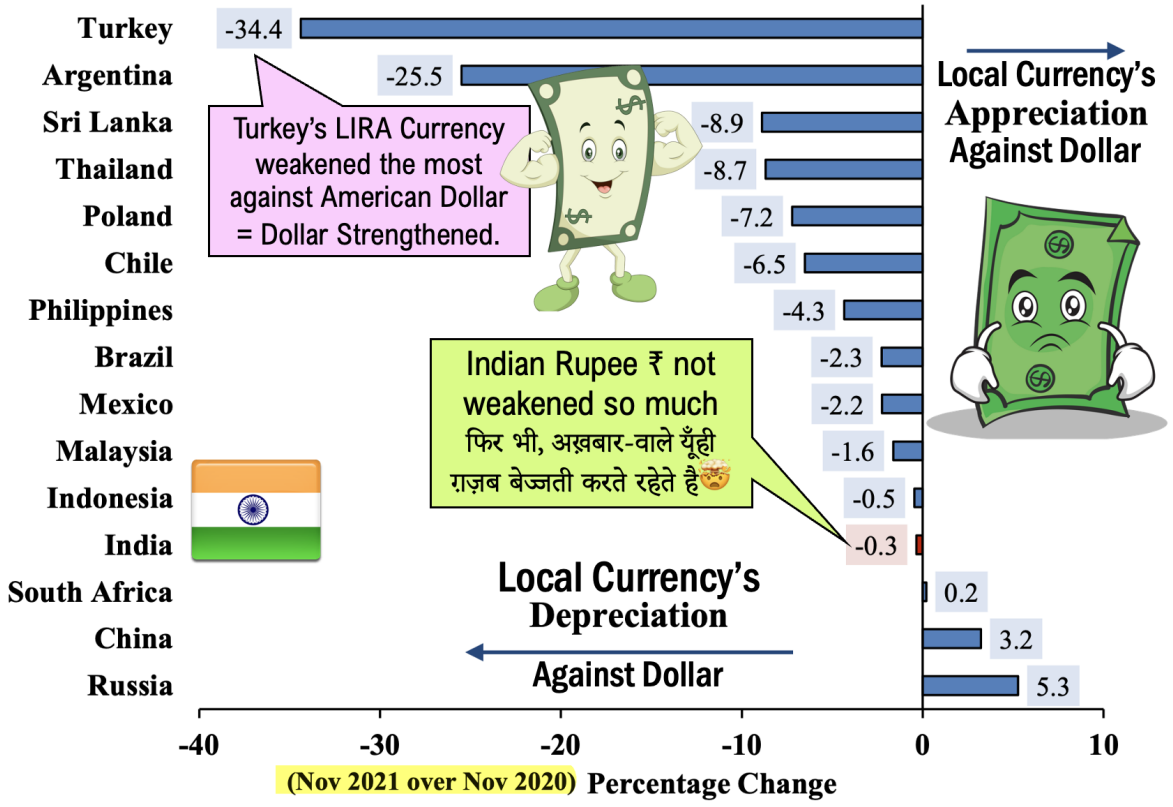
Let's compare with others

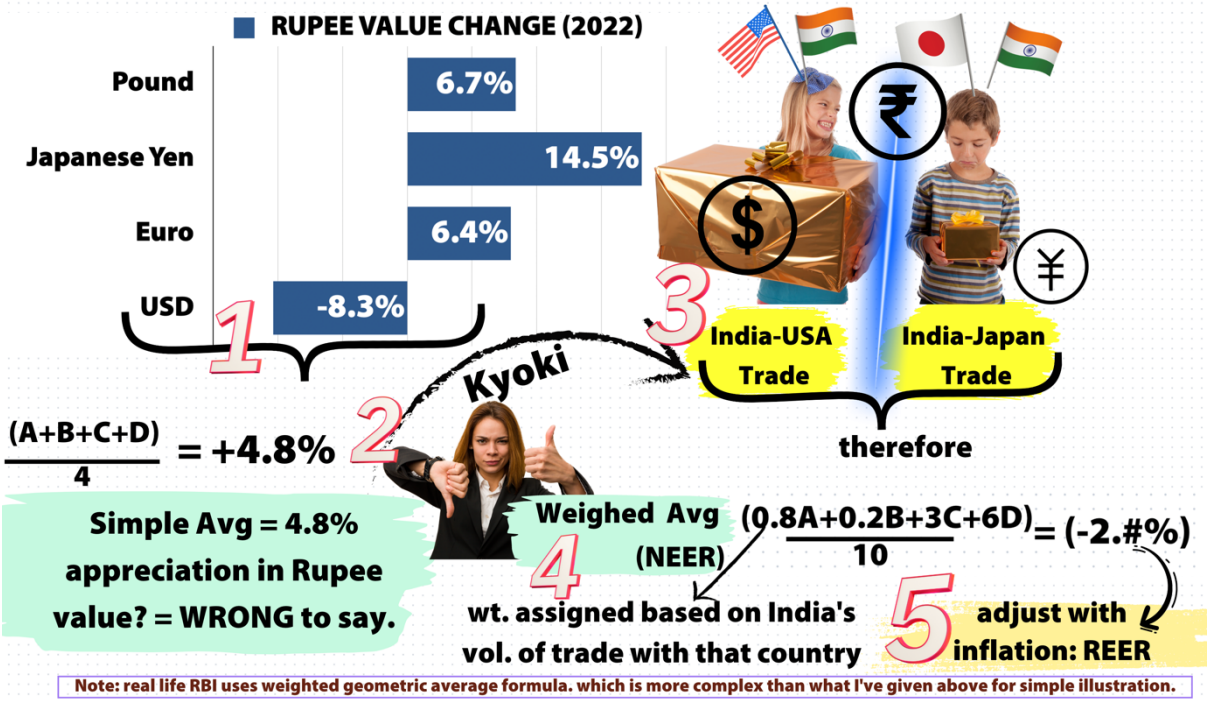
2025 to 2026-Jan	Japanese Yen	Indian Rupee	Philippine Peso	Indonesian Rupiah	Australian Dollar	Brazilian Real	S African Rand
	⇓ 5.5%	⇓ 5.4%	⇓ 3.8%	⇓ 1.9%	⇑ 11%	⇑ 8%	⇑ 15%

🟦ES25: global factors such as the movement of the Dollar, Trump's Tarrif Policy, trends in FDI/FPI capital flows, level of interest rates, demand for gold & crude oil, current account deficit, geo-political problems (Ukraine, Palestine,), etc. affect currency exchange rate.

32.13.2 💱 NEER and REER? (Hindi not imp because only prelim relevant)

- In real life we are not just trading with USA but other countries, using foreign currencies other than US dollars (Euro, Pound, Yen, Yuan etc).
- Therefore, only tracking $1=60, $1=70 will not give a full picture. So, RBI also calculates geometric average of rupee's exchange rate against upto 36 types of foreign currencies.
- The formula will give weightage to each of those 36 foreign currencies depending on their trade-volume with India.





⇒ The result is called "**Nominal effective exchange rate** (NEER)".

⇒ When NEER is mathematically adjusted as per the CPI-inflation price-levels in India and those foreign countries, it's called "**Real effective exchange rate** (REER)".

⇒ REER interpreted as the quantity of domestic goods required to purchase one unit of a given basket of foreign goods, says NCERT.

⇒ NEER vs REER values help finding whether a currency is really weakening (depreciating) against

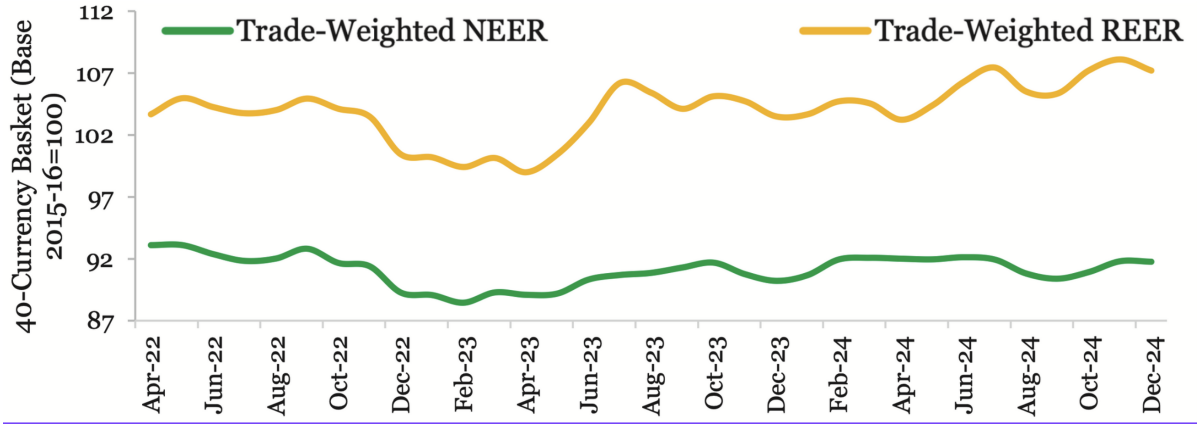
foreign currencies or not, thus helps to know our international competitiveness in exports.

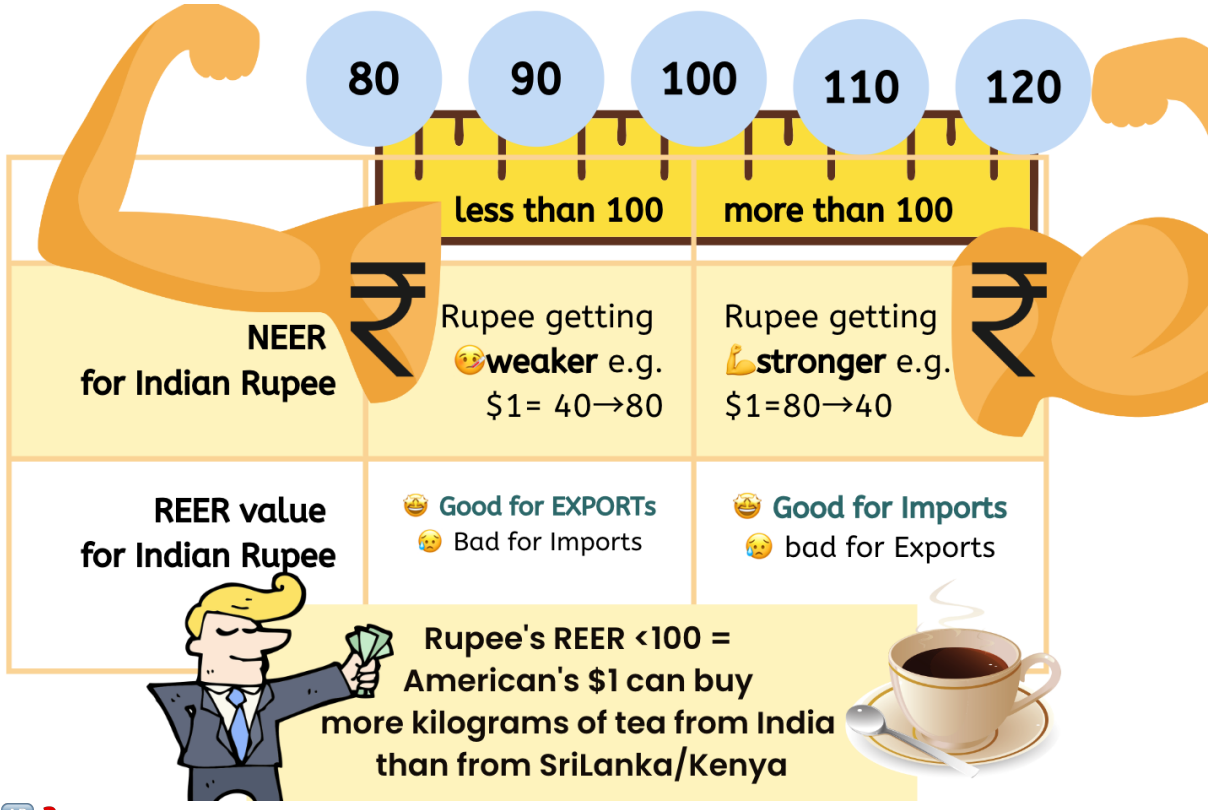
⇒ For example: REER⏬ = foreigners will find our export prices attractive. REER ↑ = foreigners will find our export prices less attractive. Says 📦📦ES20. ~~How?NotIMP~~

⇒ 2018's analysis reveals that though Indian rupee weakened against dollar $1=₹ 63 ⟶ ₹ 74, but rupee has not so greatly weakened against other foreign currencies.

32.13.3 💵💪📈 NEER-REER - 📘ES25 (2024)

- NEER mostly remained stable in 90–92 range.
- REER- appreciated from 103 ⟶ 107. That means rupee has gotten stronger (in terms of inflation adjusted real purchasing power.)





🔠❓ **MCQ. Find Correct Statements (Prelims-2022)**

1. An increase in Nominal Effective Exchange Rate (NEER) indicates the appreciation of rupee. (नीर बढ़ा तो मतलब यह पैसा मज़बूत हुआ)
2. An increase in the Real Effective Exchange Rate (REER) indicates an improvement in trade

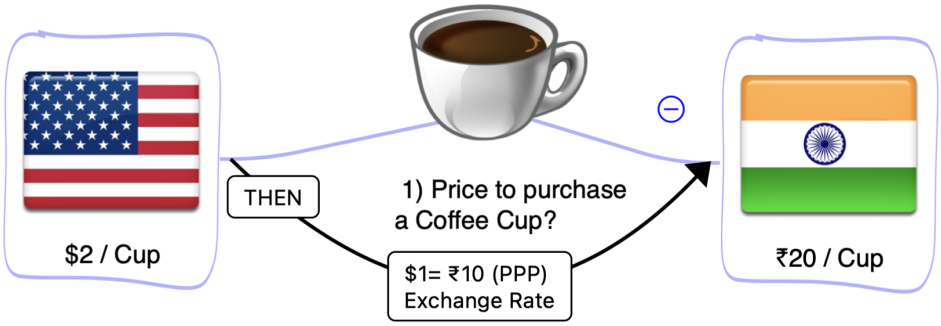
competitiveness. (रिर बढ़ा तो मतलब है विश्व व्यापार प्रतिस्पर्धा (में भारतीय उत्पादों की) स्थिति बेहतर हुई)

3. An increasing trend in domestic inflation relative to inflation in other countries is likely to cause an increasing divergence between NEER and REER. (यदि भारत में अन्य देशों के मुक़ाबले महँगाई बढ़ेगी तो के नीर-रिर के बीच ज़्यादा खाई दिखेगी)

Codes: (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

32.13.4 Purchasing Power Parity: क्रय शक्ति समता (PPP)

- It compares currencies based on purchasing power for similar goods. (एक समान वस्तुएँ ख़रीदने के ख़र्च के अनुपात में विनिमय दर)
- **Example**: If coffee costs ₹20 in India & $2 in USA, PPP exchange rate should be $1 = ₹10.
- OECD estimates $1 = ₹17 at PPP. This rate can happen, IF there is floating exchange rates (=central banks don't intervene to control exchange rate) & free trade (=no taxes on import/export).
- **GDP (PPP)**: When adjusted for PPP, the largest economies are 1) USA, 2) China, 3) India, 4) Japan, 5) Germany.



Big Mac Index	⇒ The Economist magazine's informal index to measure PPP exchange rate using the price of one McDonald burger in USA vs the respective country.
Twin Deficit दोहरा घाटा	⇒ It's the term used when both Current Account Deficit and Fiscal Deficit are high : चालू खाता घाटा और राजकोषीय घाटा

MCQ. Find correct statement(s) (UPSC-Prelims-2020)

1. Purchasing Power Parity (PPP) exchange rates are calculated by the prices of the same basket of goods and services in different countries.
2. In terms of PPP dollars, India is the sixth largest economy in the world.

Codes: (a) 1 only (b) 2 only (c) Both 1 and 2(d) Neither 1 nor 2

32.13.5 Mock Questions for Mains

Focus around the themes of – measures taken by government/RBI to reduce current account deficit, stabilise the rupee exchange rate, reforms taken in the FDI and its implications. Etc They're shifted to the Mains Handout.

Next HDT: Pillar3C: WTO & other International Economic Orgs, Trade Agreements, Protectionism and burning issues.